

Global Rates Weekly

Not enough to break

In the US, the FOMC meeting outcome points to a modest recalibration of the policy stance to a more resilient economy. We recommend 1yf 2s10s SOFR curve steepeners. In Europe, EUR rates have found some support after the multi-sigma shock. In Japan, the curve bear-steepened after the 20y auction.

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Anshul Pradhan

 +1 212 412 3681
 anshul.pradhan@barclays.com
 BCI, US

Rohan Khanna

 +44 (0) 20 7773 0533
 rohan.khanna1@barclays.com
 Barclays, UK

Shinichiro Kadota

 +81 3 4530 1374
 shinichiro.kadota2@barclays.com
 BSJL, Japan

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Not enough to break

The FOMC meeting outcome points to a modest recalibration of the policy stance to a more resilient economy, rather than a hawkish shift in the reaction function. We recommend 1yf 2s10s SOFR curve steepeners, which can benefit from either an inflation miss or the economy shrugging off hikes.

Markets reacted to the FOMC outcome in textbook hawkish fashion. Front-end yields moved higher, the yield curve flattened, and inflation breakevens tightened, providing some relief to the long end ([Figure 1](#) and [Figure 2](#)). Beyond rates, the broad trade-weighted dollar strengthened and equities briefly edged lower, all suggesting a somewhat more hawkish outcome than investors had expected. Since last Friday, US 2y yields are 7bp higher, while 10y yields are largely unchanged and 30y yields are 5bp lower.

10y yields remain near 5%; having briefly risen above this level during the week, they are now slightly below it, partly helped by optimism about the Iran war. In [On the Brink](#), we argued that the move in 10y yields toward 5% reflected a reassessment of the expected path of Fed policy, while term premium was broadly consistent with pre-GFC norms. Our conclusion was that bonds were not yet cheap and that catalysts for a meaningful rally remained absent. With the FOMC meeting now behind us, we update our thinking and arrive at the same conclusion.

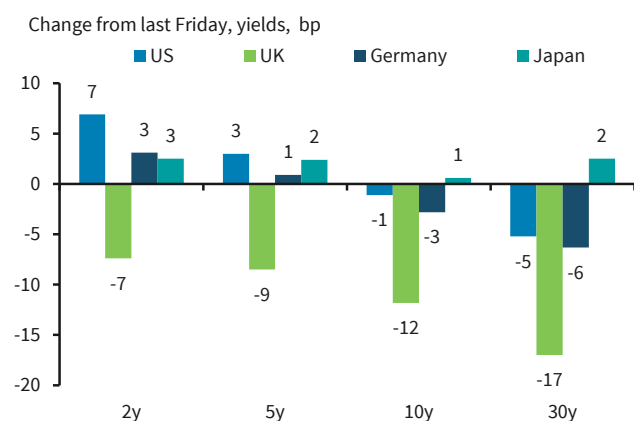
Anshul Pradhan

+1 212 412 3681
anshul.pradhan@barclays.com
BCI, US

Demi Hu, CFA

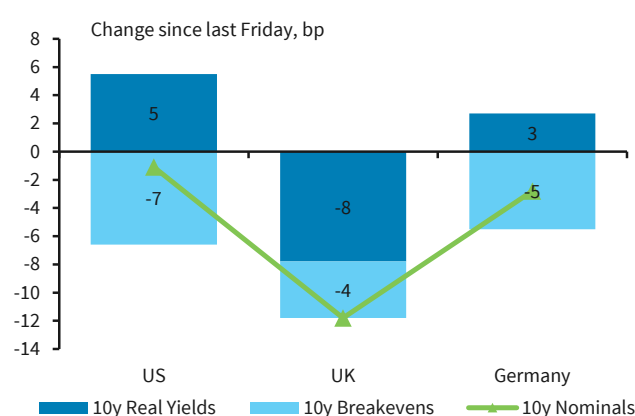
+1 212 526 7398
demi.hu@barclays.com
BCI, US

FIGURE 1. The Yield curve flattened in the US, twisting around the 5-10y point



Source: Bloomberg, Barclays Research

FIGURE 2. Breakevens tightened across markets, helped partly by falling oil prices



Source: Bloomberg, Barclays Research

The meeting did *not* reveal a more hawkish reaction function, in our view, which might otherwise have strengthened the case for lower long-term yields. While the committee projected a higher policy-rate path, that adjustment reflected a stronger economic outlook. The Fed still appears unwilling to weaken the labor market in order to return inflation to target more

quickly. Just as importantly, the peak policy rate implied by the SEP does not look meaningfully restrictive relative to reasonable estimates of where the nominal neutral rate sits. That helps explain why financial conditions remain easy and suggests that the drag on economic activity from these hikes is likely to be limited.

Hence, one possibility is that the economy absorbs the tightening with little difficulty, prompting investors to continue to reassess the longer-run neutral rate higher over time, but this time with an even higher overnight rate. Although estimates of neutral have already moved up, they remain low relative to the economy's resilience. Under that scenario, the yield curve would likely bear-steepen.

The alternative is that the Fed's higher near-term inflation forecasts create scope for downside surprises. If inflation undershoots the committee's projections, markets would likely scale back the hikes currently priced into the curve. The front end would be the main beneficiary, in our view.

In short, while the paths differ, both point to a steeper curve rather than lower long-term yields. We therefore see attractive risk-reward in curve steepeners rather than in duration. **We recommend 1yf 2s10s SOFR curve steepeners (entry -3bp).**

Why the dots are not the tell

The median fed funds rate projection rose 38bp for 2026 and 50bp for 2027, with both years now landing at 4.1%. Read in isolation, that looks like a committee turning more hawkish. Read against what else moved in the SEP, it looks more like a committee marking to stronger data.

Figure 3 shows that the unemployment rate forecast for 2026 was revised down 20bp, to 4.1%. Core PCE inflation was revised up 10bp, to 3.4%. The committee's own estimate of the longer-run policy rate rose almost 20bp, from 3.06% to 3.25%. Feed those changes through a balanced Taylor rule (using a coefficient of 1.5 on both inflation and labor-market deviations), and it largely accounts for the increase in the median dots (Figure 4 and Figure 5). If anything, the implied policy rate path for 2026 should have moved somewhat more.

As a result, the increase in the dots does not appear to reflect a more hawkish reaction function. It largely reflects a stronger economy.

The Fed's new inflation projections may actually create downside risk to the near-term policy path. The median participant forecasts core PCE inflation of 3.4% Q4/Q4 in 2026. Given the upcoming methodological revision, that already looks somewhat high. Chairman Warsh's own framing suggests the revision is worth roughly 10-20bp; he noted that y/y core PCE inflation in August was running at 3.2%, even though the current methodology points to something like 3.35%.

Moving from a 3.2% run rate today to 3.4% by Q4 requires core PCE inflation to annualize roughly 3.25% over the remaining four months. That appears high relative to recent momentum.

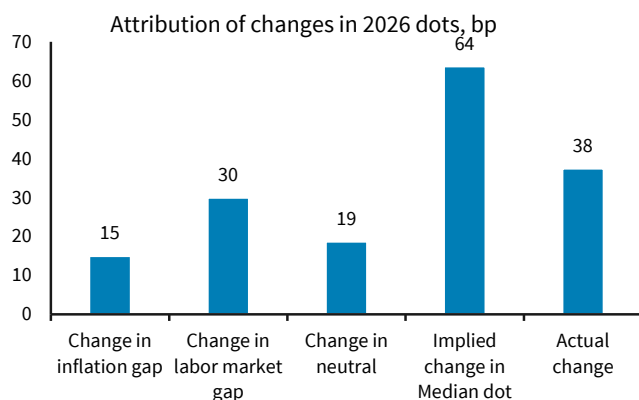
Taken together, the SEP has set itself a somewhat high inflation hurdle. A downside surprise would likely reduce the number of hikes currently priced by markets. The long end, however, need not participate to the same extent.

FIGURE 3. The Fed forecasts a stronger economy and a higher policy rate path

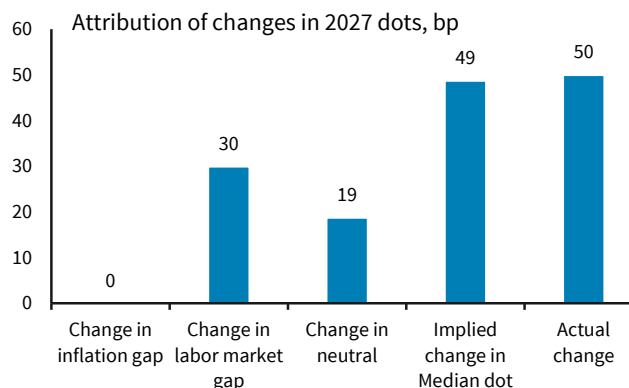
Sep FOMC Median, %	2026	2027	2028	2029	Long run
Real GDP Growth (q4/q4)	2.3	2.4	2.2	2.1	2.0
Jun'26	2.2	2.3	2.2		2.0

Unemployment Rate	4.1	4.1	4.1	4.1	4.2
Jun'26	4.3	4.3	4.2		4.2
Core PCE Inflation	3.4	2.5	2.2	2.0	2.0
Jun'26	3.3	2.5	2.1		2.0
Fed Funds Rate	4.1	4.1	3.9	3.6	3.3
Jun'26	3.8	3.6	3.4		3.1
Real Policy Rate	0.7	1.6	1.7		1.3
Jun'26	0.5	1.1	1.3		1.1

Source: Federal Reserve, Barclays Research

FIGURE 4. Changes in dots reflect a reassessment of the economic inputs, not a change in the reaction function

Source: Federal Reserve, Barclays Research

FIGURE 5. A 50bp increase in the 2027 dot is largely explained by a Taylor rule approach

Source: Federal Reserve, Barclays Research

How far above neutral, really?

The Fed is guiding to a peak median policy rate of 4.1%, or perhaps 25bp more if one focuses on the modal dots for 2027. Set against a plausible estimate of neutral, that does not look especially restrictive.

A real neutral rate near 1.5% (Figure 6), consistent with the resilience the economy continues to display, combined with inflation expectations near 2.5% over the coming year, implies a short-run nominal neutral rate closer to 4%. Against that benchmark, a 4.1% or 4.4% policy rate is only modestly restrictive.

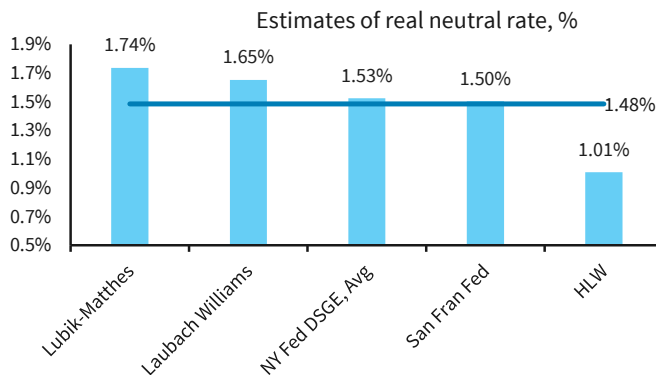
Financial conditions tell a similar story. Equities remain near their highs, credit spreads are tight, and Warsh himself noted that he would be hard-pressed to describe conditions as restrictive. The transmission mechanism also appears weaker than in prior cycles. Households and corporates remain locked into borrowing rates set when financing costs were much lower, fiscal policy is still running budget deficits near 6% of GDP, and AI-related capex appears to be considerably less rate-sensitive than traditional investment spending (see [here](#)).

The risk of a hawkish policy mistake, one that meaningfully weakens the economy and generates a large duration rally, therefore appears relatively low.

Instead, a higher-for-longer policy path may have the opposite effect. An economy that continues to absorb higher rates would encourage markets to reassess longer-run neutral rates higher over time. Figure 7 shows that investors are still discounting a neutral rate of only around 3.3% in 5yf 5y rates, a level that remains difficult to reconcile with the economy's demonstrated resilience.

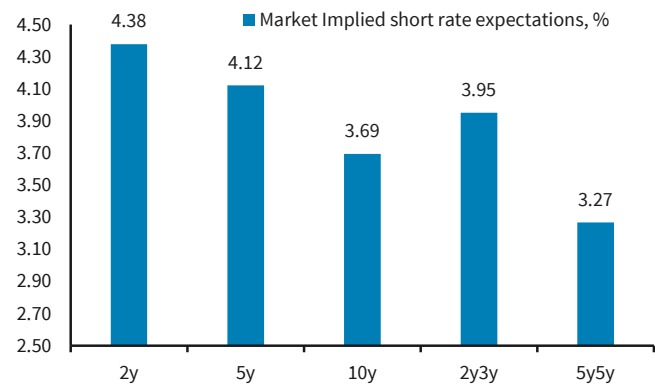
Under that scenario, the long end would sell off, producing a bear-steepening of the curve.

FIGURE 6. Real neutral is closer to 1.5% across a range of estimates



Source: Federal Reserve, Barclays Research

FIGURE 7. Markets are still discounting a 5y5y rate expectation of 3.3%.



Using the San Fran term premium model
Source: Federal Reserve, Barclays Research

Where does that leave us?

We do not think the FOMC meeting outcome creates a meaningful bullish impulse for duration (see [Global bond yield forecasts](#)). However, it does create opportunities on the curve.

The curve can bull-steepen if inflation surprises to the downside of the Fed's projections and markets scale back the number of hikes currently embedded in the front end. It can also bear steepen if the US economy continues to prove resilient and investors reassess the longer-run neutral rate higher over time.

Importantly, the market is already pricing in a relatively flat curve. The 1yf 2s10s SOFR curve is currently around -3bp, while the 1yf 2s10s UST curve is approximately 15bp. At the same time, 1yf 2y UST yields are already close to 5%. In other words, the forward curve is already pricing something close to inversion.

That appears difficult to reconcile with a scenario in which the Fed is merely recalibrating policy modestly around neutral. Historically, sustained curve inversion has been associated with more aggressive tightening cycles, such as in 1994, 2000 and 2022, rather than episodes like 1997, when the Fed delivered a limited adjustment and subsequently remained on hold.

We therefore favor curve steepeners, with our preferred expression being the 1yf 2s10s SOFR curve. The main risk is a renewed escalation in the Iran conflict that drives energy prices materially higher and forces markets to price a more aggressive policy path. Even in that scenario, the forward-starting nature of the trade should help limit downside relative to a spot steepener.

Market Views

Duration

- 10y yields within striking distance of 5% reflect the markets having reassessed the expected path higher while term premium appropriately hovers near pre-GFC levels. We remain of the view that bonds are not cheap yet.

- The FOMC meeting outcome points to a modest recalibration of the policy stance to a more resilient economy, rather than a hawkish shift in the reaction function, and does not create a long duration impulse.
- We are neutral on duration.

Curve/curvature

- We recommend 1yf 2s10s SOFR curve steepeners (entry -3bp), which can benefit from either an inflation miss or the economy shrugging off hikes.
- We maintain our recommendation to pay the belly of the 5s10s30s SOFR fly (1:2:1), as Treasury's long-end purchases should re-allocate term premium into the 10y sector, which looks too rich in light of the level of term premium.

Inflation

- We initiate an energy-hedged short in 5y breakevens. With policy rates having repriced sharply higher (Dec27 SOFR futures are above 4.7% at time of writing), we now see the stage set for a leg lower in inflation risk to be more likely than not.
- We maintain our 5y iota widener recommendation, given an asymmetric risk profile.

Money markets

- We see building potential for pockets of funding pressure, driven by heavy T-bill supply, a higher TGA balance at times, and the seasonal reduction in GSIB balance sheets in Q4. We maintain our recommendation to be short October SOFR/FF.
- We think these dynamics will be sufficient to prompt a return of RMPs, with purchases moving back up to \$10bn in October and \$20bn in November. We expect purchases to remain at that pace for several months thereafter.

Swap spreads

- We maintain our 7y spread widener recommendation. Belly spreads offer the best combination of carry and potential for further spread widening, in our view, and stand to benefit from bank regulatory changes.
- We continue to recommend being long the 10s20s30s ASW fly. Increased long-end buybacks should support the 20y sector on the curve.

Volatility

- We recommend buying a USD 6m1y 1x1.5 ATM vs ATM+24 payer spread at near zero net premium as the market is currently priced for too aggressive a hiking cycle.
- We maintain a 2y30y ratio payer spread recommendation to position for some drifting, but not a sharp sell-off at the long end.
- We maintain a 3mf 5s30s curve cap spread recommendation to position for larger curve moves driven by Fed reaction function uncertainty.

United States: Inflation Markets

Relieving the market tension

We discuss takeaways from the September FOMC, recommend a short in 5y BEs, provide thoughts on evidence of inflation breadth in CPI and PPI data, and look into whether PPI subcomponents can inform CPI expectations to help refine the fixing pricing when PPI is released first.

This week, we tackle four topics:

Preliminary takeaways from the September FOMC and why we are now recommending shorts in energy-hedged 5y breakevens.

A nuance in the RBOB futures curve that is implying sharply negative January CPI energy m/m, influencing our tracking of the market-implied "core" January 2027 fixing.

Thoughts on whether the Warsh Fed is moving, changing, or multiplying the inflation goalposts, with **a look at CPI and PPI breadth measures**.

And **an analysis of correlations between PPI and CPI subcomponents** to help answer whether the fixing should reprice post-PPI in months when PPI is printed before CPI.

"Timelier"

Much digital ink has been/is going to be spilled dissecting the September FOMC, its commitment to a "timelier" return to the 2% target, and the associated Summary of Economic Projections (SEP) and press conference. Rather than rehash the entire event, we focus on four inflation-specific thoughts and recommend a new breakeven trade.

First, the market response reflected a textbook hawkish impulse. Higher real yields, led by the front end (1y1y +15bp); breakevens selling off (1y1y -8bp, 5y -6bp ex-carry/RBOB); a flatter curve; lower equities; etc. The repricing pushed 1y1y and 2y fwd 3y breakevens lower to 2.44% and 2.45%, respectively. In CPI swaps, 1y1y dipped to 2.48% intraday on Thursday, tentatively breaching the soft 2.5-2.6% range thus far in H2 26. Despite the more-hawkish-than-expected FOMC, from a market pricing narrative, we have yet to see a concerted regime/range break, though as noted below, we recommend positioning for that risk by shorting 5y breakevens (energy-hedged).

Second, the CPI inflation path implied by the September SEP, if one assumes the CPI-PCE basis projected by Barclays economists, sits quite close to market (Figure 1). By that metric, 2027 Q4/Q4 headline CPI inflation is priced to be c.2.2%, before rising to c.2.5% in 2028 and 2029. For context, we interpret the modest rise in the 2028 and 2029 Q4/Q4 metrics as embedding a modestly positive inflation risk premium more than a high-conviction assumption of accelerating inflation in a couple of years. Indeed, with 1y1y and 2y fwd 3y inflation swaps (both headline and ex-energy) sitting well above target-consistent levels, this has been the case for several months now (Figure 2).

Jonathan Hill, CFA

+1 212 526 3497

jonathan.hill@barclays.com

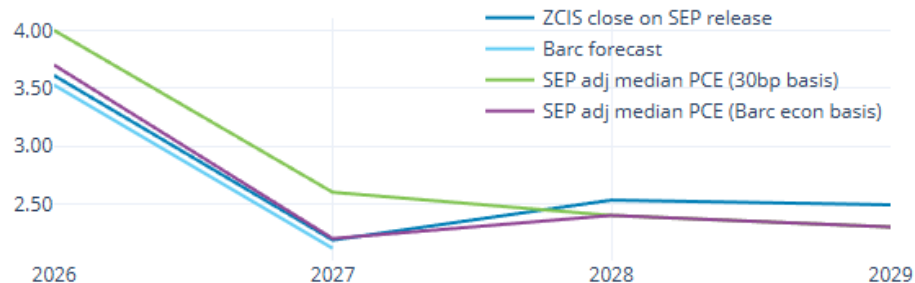
BCI, US

Apostolos Apostolou

+1 212 526 5051

apostolos.apostolou@barclays.com

BCI, US

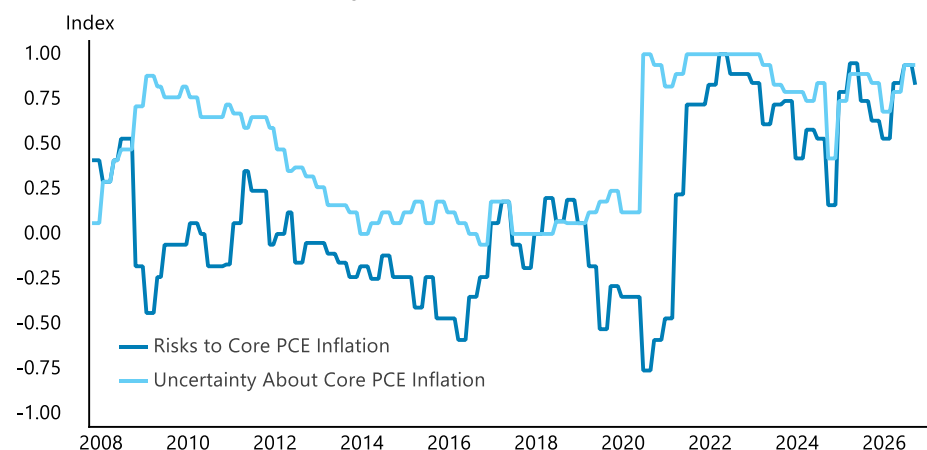
FIGURE 1. September 2026 SEP-implied CPI path vs. the market's and Barclays' forecasts


Assumes 30bp for Barclays' economics forecasted basis for 2028 and 2029.
Source: Federal Reserve, Macrobond, Barclays Research

FIGURE 2. 1y1y and 2yfwd3y ex-energy commodities inflation swaps


Source: Barclays Research

Third, in terms of the distribution of risk around the outlook, FOMC participants' assessments were little changed relative to three months ago, with the consensus skewing towards upside inflation risk with elevated uncertainty (Figure 3). Again, nothing particularly new there and perfectly consistent with the modest inflation risk premium embedded in the front end of the inflation market, as well as a hawkish bias in reaction function terms.

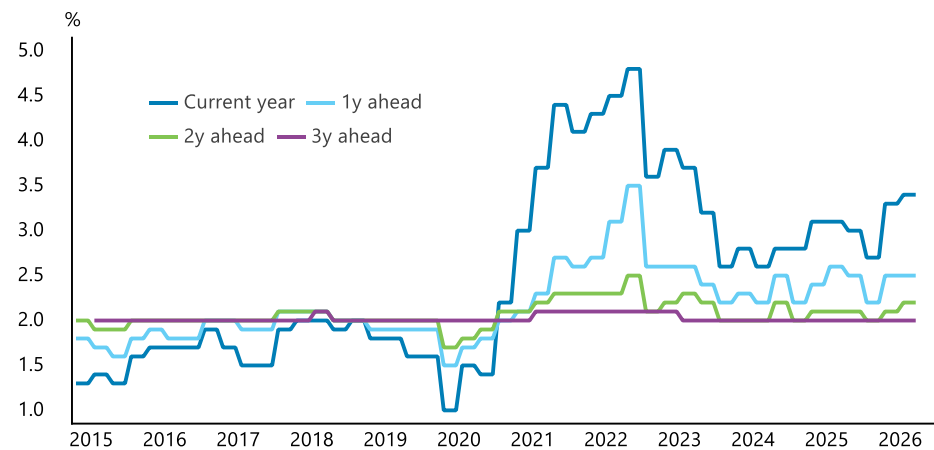
FIGURE 3. Summary of economic projections: Core PCE inflation uncertainty and risks


Source: Federal Reserve, Macrobond, Barclays Research

Fourth, we take zero signal from the median 2029 core PCE projection sitting at target. Over the past decade, the "3y ahead" core PCE forecast has always been either 2.0% or 2.1%,

including during the elevated inflation period of recent years ([Figure 4](#)). Indeed, the central tendency of projections is a precise 2.0%, and the full range is only 2.0-2.1%. In essence, all this says is that three years from now, under appropriate monetary policy, inflation is hopefully at target.

FIGURE 4. Summary of economic projections: Median core PCE projections



Source: Federal Reserve, Macrobond, Barclays Research

Put together, the combination of above-target inflation projections from the Fed for the next several years, market pricing for above-target inflation (both headline and core) until the early 2030s, and perceived upside risks to inflation should sustain a hawkish bias from the committee in the near term.

As we have [previously argued](#), one of the key tensions in the macro narrative in recent months is between elevated market-implied core inflation and the market-implied path of policy rates. With policy rates having repriced sharply higher (Dec27 SOFR futures are above 4.7% at the time of writing), we now see the stage set for a leg lower in inflation risk to be more likely than not.

Part of our thinking is that the unanimous nature of the Fed decision should bolster inflation-fighting credibility (and, thus, weigh on forward inflation risk), in addition to concerns that any perceived risk to AI-related capex and development could weaken the "near term inflationary, medium term disinflationary" argument, thereby providing a steepening impulse to the inflation curve. In other words, the path of least resistance is for some moderation of inflation risk premium out to five years.

As such, we recommend shorts in energy-hedged 5y breakevens, entering at 2.34%, targeting an energy-hedged decline of 15bp, with a stop at 10bp of loss. While there are clear upside risks to the inflation outlook as well ([see here for more details](#)), any further rise in energy prices should primarily (not exclusively) play out in the front stub, which is partially isolated by moving to forward space. As such, those unable to energy-hedge breakeven positions should consider shorts in forward space, rather than outright.

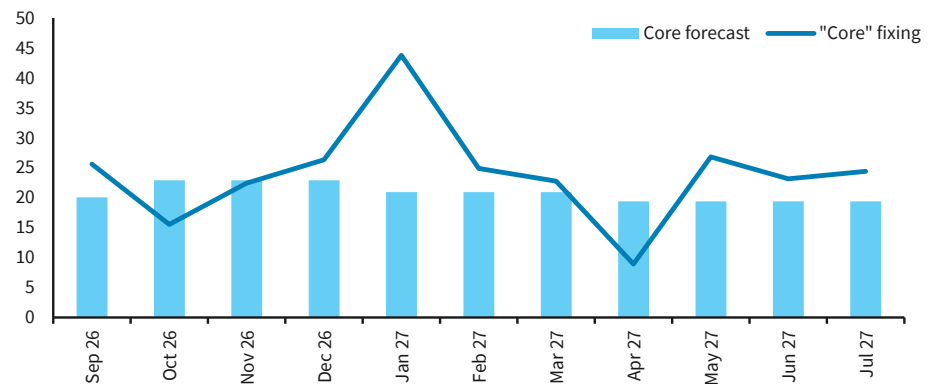
Mind the Dec/Jan RBOB gap

As discussed last week in [As simple as possible, but not simpler](#) (September 10, 2026), we have deepened and revised our market-implied energy inflation tracking, which informs our detailed CPI fixings analysis in our *Inflation-Linked Daily*. One fixing that stands out is Jan 27, which we track as showing a market-implied core of c.44bp ([Figure 5](#)).

Digging into what is going on there, one culprit to look at is the implied energy CPI change (which we are tracking at nearly -4% m/m SA). Intuitively, for a given headline change in the fixing, a lower energy rate implies "higher" ex-energy inflation.

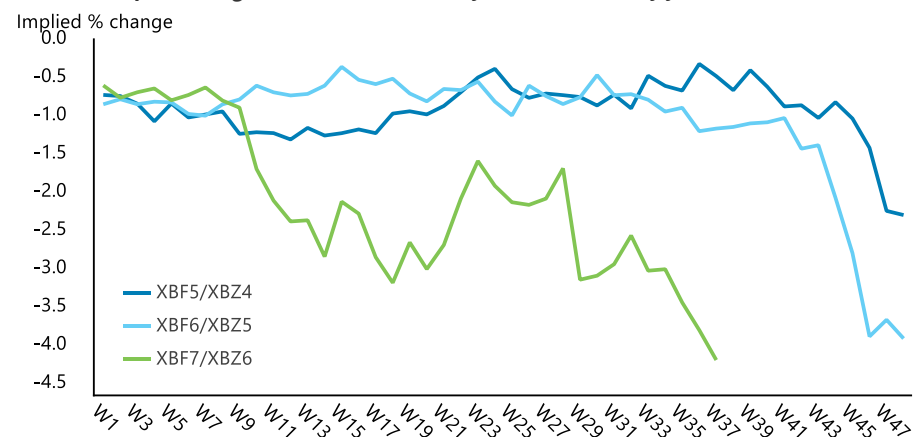
If we look at the implied percent change in RBOB futures from December to January in 2024-25, 2025-26, and 2026-27, the upcoming XBZ6/XBF7 percent change is dramatically larger than what was discounted into markets in recent years (Figure 6). Mechanically, this implies lower market-implied energy, which is picked up in our tracking.

FIGURE 5. Barclays' market-implied "core" fixing path vs. forecast



Source: Barclays Research

FIGURE 6. Implied change in December to January RBOB contracts by year



Source: CME, Macrobond, Barclays Research

Take a deep breath

Are the inflation goalposts moving, changing, or multiplying?

On the topic of the Fed, another theme we have been pondering is whether the market's understanding of the Fed's underlying inflation tracking is evolving. In essence, there is a question of what the key metrics new Fed Chair Warsh considers when evaluating the inflation profile, thereby informing monetary policy decisions.

This is a correlated, but fundamentally different, question from what the inflation target is (a topic that came to the surface during the July FOMC press conference). In his speech in Jackson Hole, the Chair left little ambiguity, stating, "There should be no misunderstanding: the Fed's

price-stability objective of 2 percent, as measured by the personal consumption expenditures (PCE) price index, is a firm, fixed target." ¹

Instead, the inquiry is more what metrics the Chair/Fed monitors to inform where realized underlying inflation sits, thereby informing the Fed's reaction function/policy decisions to achieve the 2% target.

Moving/changing goalposts?

We do not think that this is a mere "moving of the goalposts" with regard to inflation. That would be akin to shifting the 2% inflation target to a different level or a range. As emphasized by the Chair at Jackson Hole, that is not up for discussion.

Nor is this a changing of the goalposts, which would be akin to a change in the Fed's inflation target away from headline PCE y/y. Instead, perhaps a better way to think about it is that the number of metrics is expanding; the dashboard is growing, and the moving pieces that are potential inputs for the Fed's reaction function are multiplying. This may be good for expanding inflation strategists' set of topics on which to opine, but likely introduces noise and uncertainty for the market writ large.

For instance, earlier this year, the focus was on Chair Warsh's emphasis on trimmed PCE measures over classic core. At his Jackson Hole speech, the Chair added a couple more, this time in the form of the percent of the inflation basket that is rising over 3% per year (or over 3% at an annualized rate) relative to those pre-COVID. ² He further flagged these metrics in his introductory comments at his press conference this week. Moreover, we can add to this list ex-Chair Powell's "supercore" (core services ex-shelter) inflation, ³ Governor Waller's preference for tracking three-month annualized core inflation, and myriad others. ⁴

CPI/PPI breadth

In that spirit, we calculated a parallel tracking of the PCE inflation breadth tracking described by Chair Warsh, but instead focusing on CPI (y/y and 6m annualized) and PPI. We consider not only the share of subcomponents over 3%, but also those below 1%. While clearly more of an intellectual exercise, we do have a few takeaways:

1. As with PCE, the share of components across CPI (both y/y and 6m annualized) and PPI (y/y) having risen more than 3% through August is elevated compared with the pre-pandemic period.
 - a. At the onset of the pandemic, 26% of components had risen more than 3%; in August 2026, it was 53%.
 - b. Similarly, in February 2020, nearly 50% of components had risen less than 1%; in August 2026, it was only 24%.
2. However, this is not 2022, a point we have been making in a variety of forms since the war with Iran began earlier this year. For context, in September 2022, a full 83% of components

¹ <https://www.federalreserve.gov/newsevents/speech/warsh20260828a.htm>

² "To try to gauge underlying inflation, I find it instructive to disaggregate the 199 individual components of the PCE price measure. Over the past 12 months, 54 percent of goods and services in the PCE basket showed price increases above 3 percent. This is well below the post-pandemic highs of about 77 percent, but it remains well above the level of 32 percent in the two decades that preceded the pandemic. Looking over just the past six months, the conclusion is similar: Of goods and services in the PCE basket, 49 percent showed annualized price increases above 3 percent. Again, this is well below the post-pandemic highs but still quite elevated." <https://www.federalreserve.gov/newsevents/speech/warsh20260828a.htm>

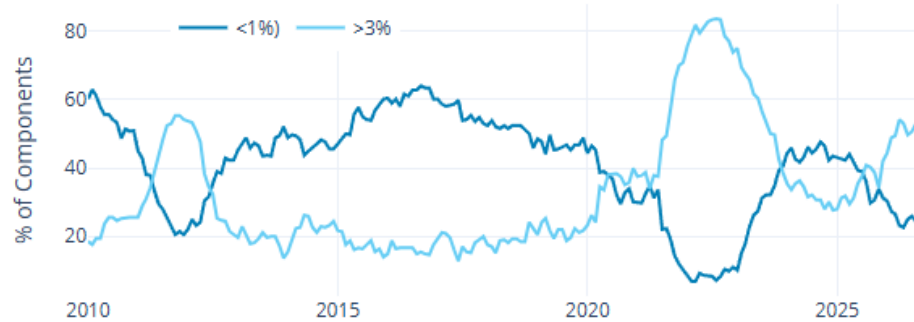
³ <https://www.federalreserve.gov/newsevents/speech/powell20221130a.htm>

⁴ <https://www.federalreserve.gov/newsevents/speech/waller20260903a.htm>

were rising above 3%. This implies that even as the Fed has begun a hiking cycle, it will not need to be as aggressive as earlier this decade (consistent with market pricing).

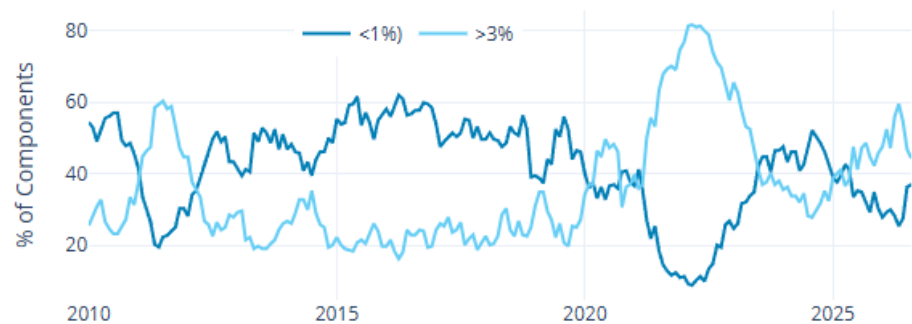
3. The 6m annualized share above 3% dropped below 50% in July and now sits at 44%, having inflected lower before the y/y metric. This could be a space to watch were the Fed to begin focusing on the higher-frequency metrics to capture an inflection point.
4. For PPI, we still very much seem to be in a high-inflation regime using the y/y metric, and in general, historically, this has been a noisier signal than CPI.

FIGURE 7. Inflation Breadth across CPI Components (y/y)



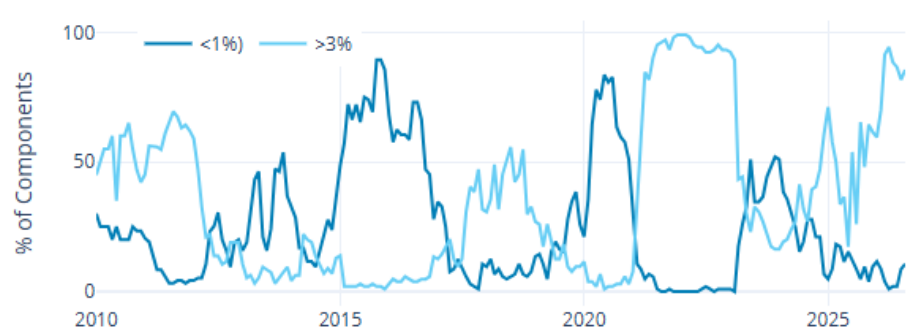
Source: BLS, Macrobond, Barclays Research

FIGURE 8. Inflation Breadth across CPI Components (6m annualized)



Source: BLS, Macrobond, Barclays Research

FIGURE 9. Inflation Breadth across PPI Components (y/y)



Source: BLS, Macrobond, Barclays Research

PPI and CPI: Examining category links

As a final topic this week, we consider PPI. This is often used to refine PCE forecasts, particularly in the health care, financial services, and air travel categories, which CPI does not fully capture. In light of the August PPI print preceding the August CPI release, we asked ourselves which PPI

categories may provide clues for CPI in the same reference month and, thus, help inform whether the fixing should reprice post-PPI in such months.

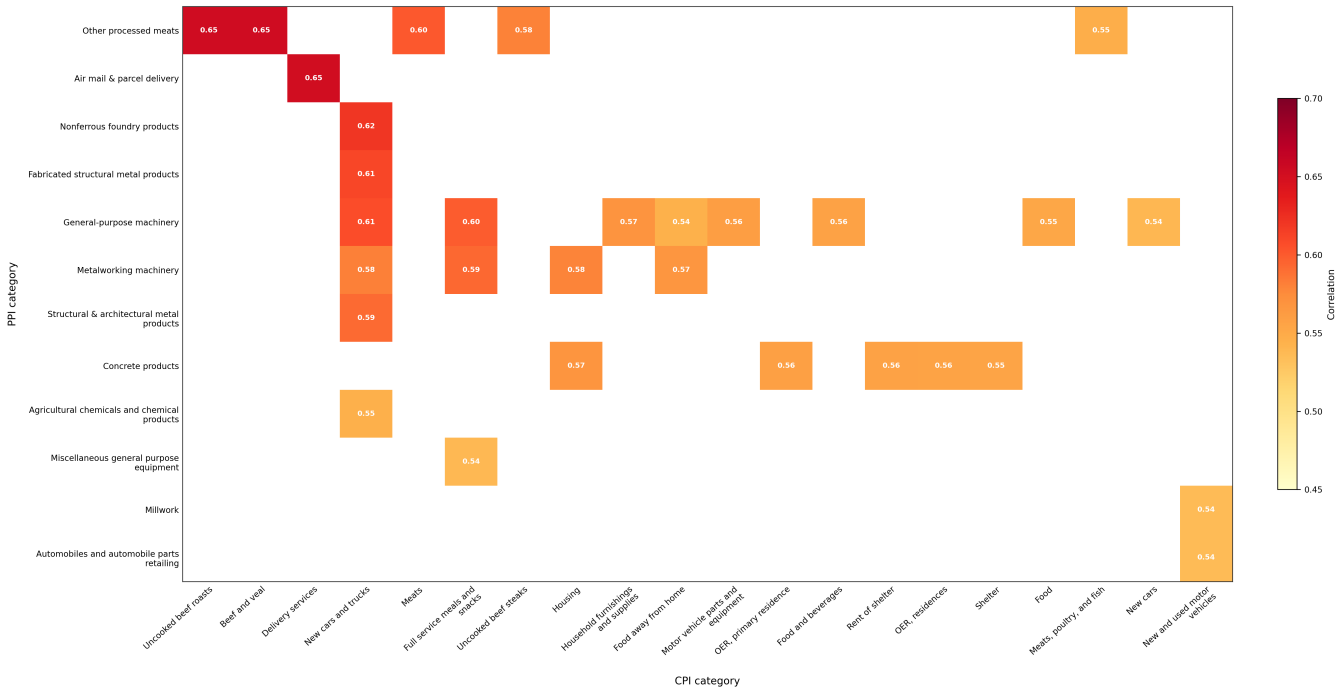
Methodology

We calculate correlations between seasonally adjusted (SA) monthly changes in select CPI categories and PPI categories. The analysis includes detailed commodity PPI categories and final demand-intermediate demand (FD-ID) aggregates; commodity PPIs are the natural starting point because they classify prices by what is sold and therefore generally map more closely than industry PPIs to CPI categories. Restricting the study to SA series on both sides prevents recurring calendar patterns from driving the results.

Results

The accompanying heatmap shows the 30 strongest positive contemporaneous correlations among currently published, SA PPI and SA CPI categories with at least 96 overlapping months of data. It excludes energy and broad aggregates because those relationships are already well understood and tend to reflect mechanical or economy-wide inflation movements, rather than specific category links.

FIGURE 10. Focused Correlation Heatmap: PPI versus CPI



30 strongest positive contemporaneous correlations among currently published, SA PPI and SA CPI categories with at least 96 overlapping months of data.
Source: Barclays Research

The strongest direct relationships are concentrated in meats and delivery services. CPI uncooked beef roasts versus PPI other processed meats and CPI beef and veal versus the same PPI category each have correlations of approximately 0.65. CPI aggregate meats versus PPI other processed meats has a correlation of 0.60. CPI delivery services versus PPI air-mail and parcel delivery also has a correlation of 0.65.

Vehicles account for several of the strongest remaining relationships. CPI new cars and trucks versus PPI nonferrous foundry products has a correlation of 0.62, while CPI new cars and trucks versus PPI fabricated structural metals and PPI general-purpose machinery each have correlations of approximately 0.61.

Further down the heatmap, CPI new and used motor vehicles versus PPI millwork and versus PPI automobile and automobile-parts retailing each have a correlation of approximately 0.54. Millwork has some potential relevance through wood trim used in vehicle interiors, particularly luxury vehicles, although the PPI category is considerably broader.

Within shelter, CPI housing versus PPI concrete products has a correlation of 0.57, while CPI owners' equivalent rent, rent of shelter, and aggregate shelter versus PPI concrete products have correlations of approximately 0.55-0.56.

Analysis

Meats and delivery services provide the clearest contemporaneous read-through, as the relevant CPI and PPI categories measure closely related products or services. The vehicle relationships are less direct, but may reflect upstream production costs and common manufacturing conditions.

The shelter relationships are better interpreted as broader housing signals. Concrete reflects construction costs and activity, while OER measures the rental value of the existing housing stock. The correlation therefore likely reflects shared housing market conditions, rather than concrete prices feeding directly into shelter CPI.

More broadly, this exercise demonstrates the limits of relying on correlation alone. Inevitably, we include some categories without a direct connection that moved together historically. The strongest results also generally were more pronounced after 2020, when producer and consumer prices were subject to unusually large and synchronized shocks.

Overall, the analysis suggests that PPI provides the most useful same-month CPI information when the underlying categories are closely aligned, most clearly for categories such as processed meats and delivery services. Relationships in vehicle-input and shelter-construction categories may provide useful context, while the less intuitive machinery, food, and furnishings correlations should receive little to no forecasting weight. **The practical takeaway is that PPI can sharpen the category-level interpretation of an upcoming CPI release, but the historical correlations do not establish how much the CPI forecast should change, and our sense is that PPI publishing before CPI should be rather a non-event for the fixings market.**

United States: Money Markets

Tepid inflows, rising supply

Money fund inflows have slowed this year just as Treasury bill issuance is set to pick up. A Fed hiking cycle may eventually help, but the near-term test for funding markets is whether money funds can absorb growing bill supply without a broader repricing in front-end rates.

One theme we have been tracking over the past few weeks is the tepid pace of inflows into money market funds. We recently highlighted this trend (see [here](#)), but with the Fed delivering a 25bp hike this week, one question has become more pressing: will higher rates be enough to bring cash back into money funds? It is an important issue for funding markets because money funds remain the dominant buyers of Treasury bills just as bill issuance is set to pick up in Q4. To put some numbers on the slowdown in inflows, over the same period last year, money fund AUM increased by roughly \$450bn, compared with about \$200bn so far this year ([Figure 1](#)). That compares with annual inflows over the past few years of roughly \$800bn to more than \$1trn. In short, money fund balances have grown more slowly than investors have become accustomed to, raising questions about who will absorb the next wave of Treasury bill supply.

So, why has less cash been flowing into money funds broadly? Part of the story may be the yield pickup offered relative to other cash-like instruments. At the end of Q2, we estimate that the yield advantage for money funds over deposits was about 130bp on average ([Figure 2](#)). In outright terms, that is still a significant incentive, but it has compressed meaningfully as the Fed cut rates over the past two years, and is down from a peak of around 250bp. Now that the Fed has embarked on a hiking cycle, the question is whether higher rates will reinvigorate inflows.

Samuel Earl

+ 1 212 526 5426

samuel.earl@barclays.com

BCI, US

Demi Hu, CFA

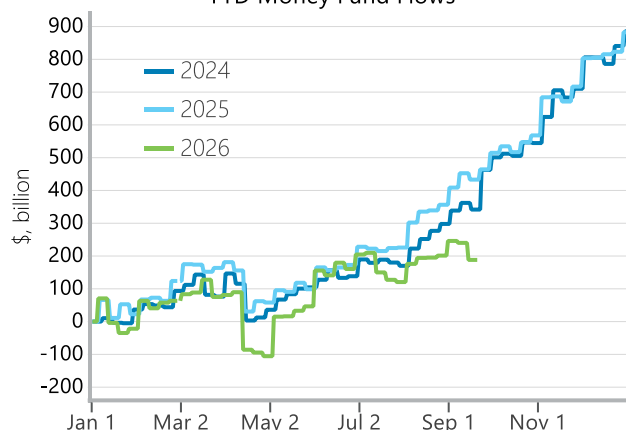
+1 212 526 7398

demi.hu@barclays.com

BCI, US

FIGURE 1. Money fund flows have slowed

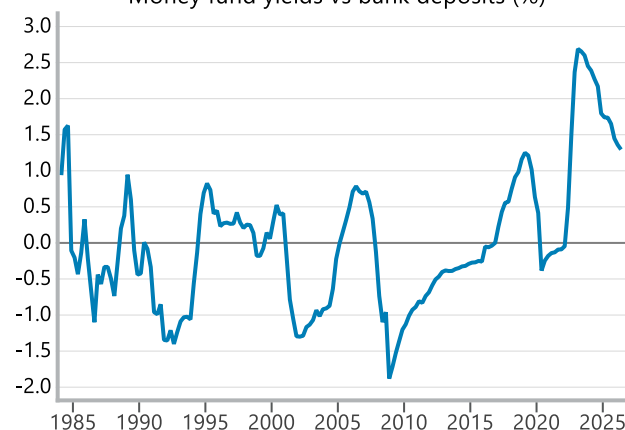
YTD Money Fund Flows



Source: ICI, Barclays Research

FIGURE 2. Yield pickup has fallen

Money fund yields vs bank deposits (%)

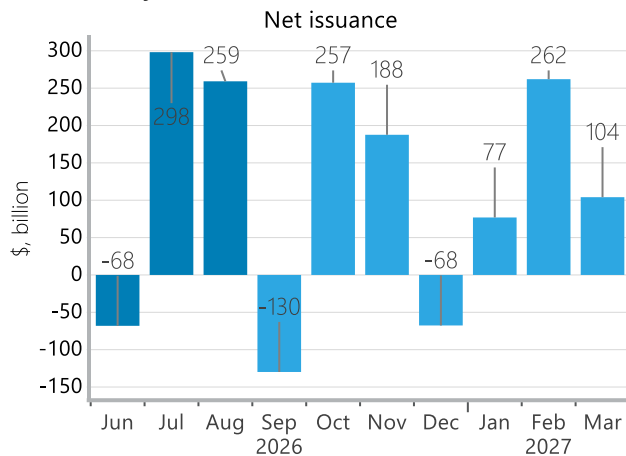


Source: FDIC, Federal Reserve, Barclays Research

One hike on its own is probably not enough to make a material difference to that spread. A series of rate hikes would be much more meaningful for that pickup, and in turn money fund inflows. With the next hike most likely not coming until December (see our economists' Fed call [here](#)), any turnaround in flows from higher yields is probably more of a 2027 story.

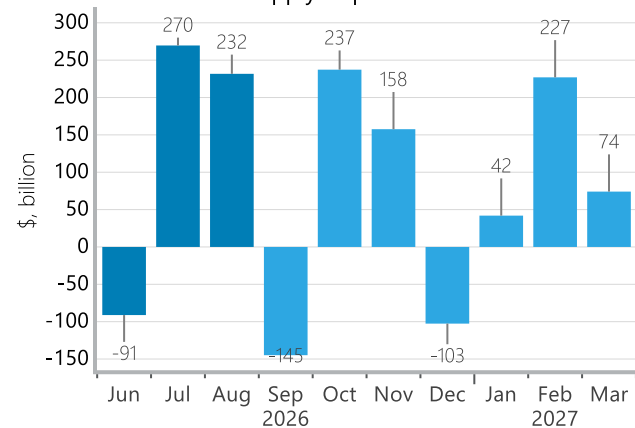
That means it is unlikely to affect flows any time soon, leaving the underlying tepid trend a potential risk for money fund flows over the near term. We estimate that Treasury is set to issue about \$240bn in net bills to private investors in October and another \$160bn in November ([Figure 3](#) and [Figure 4](#)). Money funds are the largest buyers of T-bills, and with more supply on deck, bill yields may need to cheapen to incentivize funds to absorb that issuance. And absent inflows, that would mean reducing allocations elsewhere, such as in repo or agencies. In other words, money funds absorbing the next wave of bill issuance becomes incrementally more challenging, given this underlying trend.

FIGURE 3. Hefty T-bill issuance ahead...



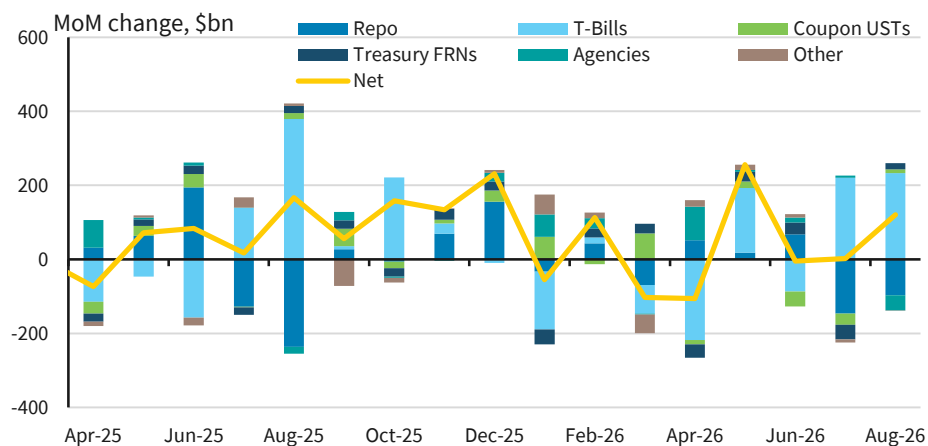
Source: US Treasury, Barclays Research

FIGURE 4. ... though some of that is absorbed by the Fed
Net T-bill supply to private investors



Source: US Treasury, Barclays Research

A useful guide to how funds may reallocate is the shift in portfolio composition during July and August, when Treasury issued roughly \$500bn of bills to private investors ([Figure 5](#)). Money funds absorbed almost all of that supply, purchasing around \$450bn of bills, while reducing repo allocations by a combined \$250bn. The drop in repo allocation is quite interesting, as it did not create much of an effect on funding conditions over July and August. Part of that is an offset from the decline in leverage demand as basis and RV opportunities dried up (see [here](#) and [here](#)). While it is difficult to precisely quantify changes in leverage demand in real time, notional leverage fund positioning provides a useful proxy. Over July and August, leverage fund net short Treasury futures positions declined by roughly \$70bn in notional terms. We think the trend lower is a structural story post SLR reform, and with excess leverage capacity remaining at the major US dealers, we think that is likely to continue. But the extent of the slack emerging from declining leverage demand over the coming months remains an open question. Another factor to watch in October and November is that uncertainty around additional rate hikes may make money funds reluctant to extend WAMs. Funds have already shortened WAMs considerably over the past few months in anticipation of higher rates, for instance.

FIGURE 5. Month-on-month change in money fund holdings

Source: Crane Data, Barclays Research

All told, the interaction between slowing inflows, rate hike uncertainty, increased bill issuance and reduced bank balance sheet capacity in Q4 could create pockets of funding pressure. At the same time, the ongoing structural decline in leverage demand should provide some amount of offset by reducing competition for cash. The key question is whether money fund inflows accelerate quickly enough to absorb the coming wave of bill supply without requiring a more meaningful repricing in front-end funding markets. **On balance, we think the decline in leverage is a slower-moving structural process, and given the magnitude of bill issuance ahead, we continue to see funding conditions firming into year-end and maintain our recommendation to be short October SOFR/FF.**

Derivatives Strategy

Are markets getting ahead of themselves?

Market-implied probabilities of a large hiking cycle are now quite extreme in major DM rates markets and ratio payer spreads on the LHS look attractive. In swap spreads, the environment continues to be spread-positive but longer-term risks remain.

Options: Are markets getting ahead of themselves?

Evidence is now building that a global developed market rate hiking cycle has started. The Fed and ECB have both raised rates, and while the BoE hasn't yet, at today's meeting a significant fraction of the MPC thought that a hike was appropriate. Markets have moved to assigning a meaningful probability to renewed hiking cycles. But an important message from this week's meetings is that beyond their next moves, central banks' paths remain much more conditional than markets are expecting them to be.

The market has been assigning a lot of weight to energy prices as the principal impetus for hikes, and the outlook for energy prices is genuinely unpredictable. However, the reaction functions outlined by the Fed, ECB and BoE depend on more than just the direct effect of energy on headline inflation. In our view, policymakers are much more concerned about underlying core inflation, labor market tightness and how anchored inflation expectations are. In each of the G3 economies, these considerations underline the possibility of another hike, but not necessarily the extended or aggressive hiking cycles that are now being priced into the right-hand tail of options distributions.

Amrut Nashikkar

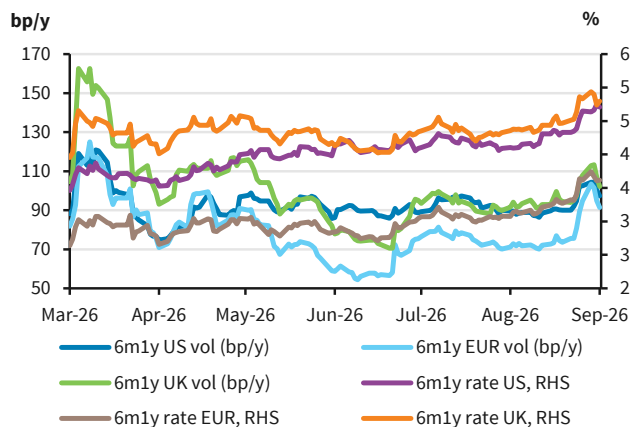
+1 212 412 1848
amrut.nashikkar@barclays.com
BCI, US

Andres Mok, CFA

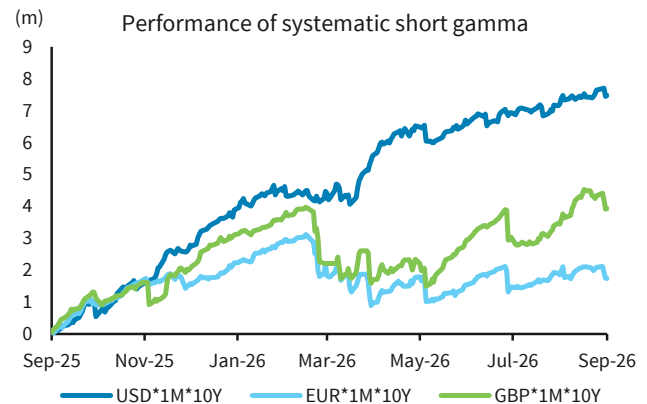
+1 212 526 8690
andres.mok@barclays.com
BCI, US

Eveline Dong

+1 212 526 9576
eveline.dong@barclays.com
BCI, US

FIGURE 1. Rates and vols have repriced in short tenors, much more dramatically in Europe than the US

Source: Barclays Research

FIGURE 2. Systematic gamma selling strategies have had strong performance in the US, but had drawdowns in other markets

Note: Simulates \$10mn in 1m10y straddles sold every day and delta hedged to expiry without transaction costs
Source: Barclays Research

At the September FOMC, the Committee raised the target range by 25bp to 3.75-4.00%, while the new projections showed stronger growth, lower unemployment and slightly higher inflation. The stated rationale for the hike at Fed Chair Warsh's press conference was that the Fed was removing a degree of accommodation given the resilience of the economy. But the median dots imply only one further hike this year and none in 2027. Even with core PCE inflation projected at 2.5% and the unemployment rate at 4.1% next year, the Committee does not see the need for a longer sequence of hikes. The projections suggest that for the policy rate to move materially above the median path, inflation would likely need to reaccelerate and the labor market tighten more than expected. We do not think that stronger growth in Q3 by itself is likely to produce those outcomes. In other words, the most likely path of policy rates is the one that is now being projected by the FOMC's dots; in contrast, the market's most likely expected path of policy rates involves nearly three more hikes.

The ECB raised the deposit rate to 2.50% last week, and our economists expect another 25bp hike in December, with risks skewed towards further tightening if the energy outlook deteriorates. However, underlying inflation declined in August, wages have not responded materially to the energy shock and longer-term inflation expectations remain close to 2%. The economy in Europe too has managed to be more resilient to the price shock than was anticipated. The BoE's decision is also informative. The MPC voted 6-3 to keep Bank Rate at 3.75%, despite a further rise in the near-term inflation forecast and greater upside risks. The majority continued to see little evidence of material second-round effects, while labour market slack and the tightening already evident in household and business borrowing rates were expected to restrain inflation over time.

That said, options markets across US, EUR and GBP now suggest that investors are already assigning a much higher risk that the hiking cycle will end up being far more aggressive than is being telegraphed by policymakers. One way to see this is through the [pricing of the upper breakevens of 6m1y payer ratio spreads](#) in each of these markets. This is the level above which such a structure begins to make losses from a terminal perspective and thus represents the market's pricing of the probability of a relatively extreme sell-off. The terminal upper breakevens on zero-cost 1x1.5 structures in 6m1y payers (with the first strike ATM) are 5.38% in USD, 4.37% in EUR and 5.80% in GBP. These levels are approximately 140bp, 190bp and 205bp above current policy rates, respectively.

These breakevens indicate how far the upper tail for short-term rates has moved. In the US, the ratio spread remains profitable at expiry until the 1y rate reaches 5.38%, compared with a fed funds target range of 3.75-4.00% and a median FOMC projection of 4.1% at end 2026 and 2027. The market is therefore allowing investors to sell rate outcomes materially above the Fed's projected path while still retaining a wide range over which the structure makes money.

Arguably, the distributions appear more extreme in Europe and the UK. That said, the vol markets in EUR and UK are likely more fragile than in the US, and the appetite to sell vol is likely low given the underperformance of vol selling in these markets ([Figure 2](#)).

We therefore recommend buying a USD 6m1y 1x1.5 payer ATM vs ATM+24 spread at near zero net premium. The trade retains exposure to further Fed tightening while selling outcomes that require the hiking cycle to extend materially beyond the median FOMC path. The main risk is a sharp increase in 1y rates beyond the upper breakeven.

Unwound trades:

- After the September hike, our 6m1y 1:1 receiver spread recommendation is too far out of the money and we are unwinding it given that it is likely to bleed carry but unlikely to be in the positive payoff zone at expiry.

US Swap spreads

The Fed delivered its first rate hike since 2023 in a unanimous 12-0 decision. The committee updated the SEP, which was more hawkish than expected, reflecting the underlying strength of the US economy, resilient labor market conditions, and still elevated inflation, while the hike was intended to support "a timelier return" to their 2% inflation goal (see [here](#)).

The hawkish tone pushed front-end yields higher, flattening the curve, while breakevens fell. Against this backdrop, swap spreads were resilient and continued to show signs of strength after the Fed meeting. As rates have increased in recent months, particularly with the long-bond touching multi-decade highs, 30y spreads led the widening move. In fact, longer-tenor spreads have reversed much of their tightening in the first half and are closing Q3 on a strong note ([Figure 3](#)). Increased long-end buybacks should do little to affect outright yields but should have more of a clean effect on relative value relationships such as spline errors and swap spreads. We continue to like being long the 10s20s30s ASW fly and find that historically the long-end buybacks have been concentrated in securities near the 20y point and a larger Treasury footprint there should support the sector (see [here](#)).

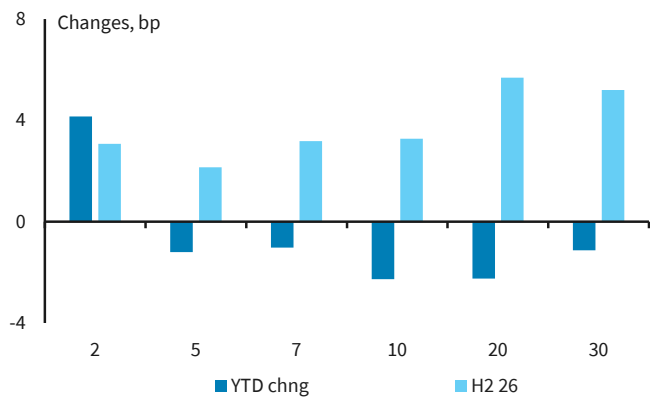
The stand-out this year on the spread curve has been at the front-end (2y). Funding conditions have remained benign supported by increased dealer balance sheet capacity following SLR reform, reduced demand from leveraged investors to finance RV and basis positions in repo, and a shift in the Fed's policy outlook towards tightening. These developments have continued to be a tailwind for funding markets.

With headline 2y spreads at around -12bp, they are a touch above our fair value of -15bp given our expectations of SOFR/FF in coming months ([Figure 4](#)). While we think front-end spreads should continue to benefit from favorable funding conditions, we think there's less room for them to materially widen from here. The Fed has pared back RMP purchases and net bills supply to private investors should create pockets of funding pressure as we head into year-end and GSIBs begin their risk-dieting to rein in balance sheet activities.

Looking beyond this year, the debt ceiling could be binding in Q1 under current law, at which point the government will have to draw down its TGA cash balance and use extraordinary

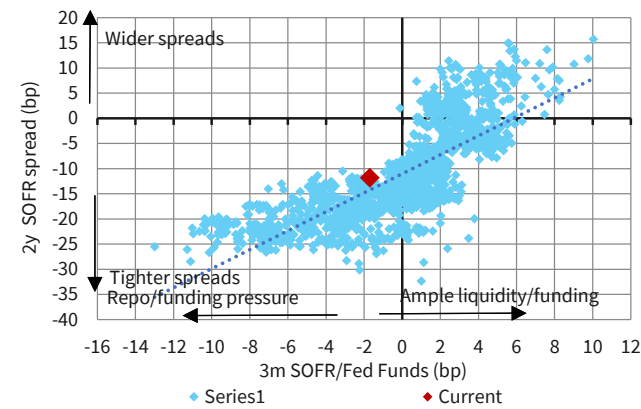
measures to stay under the debt limit. Historically, funding conditions tend to soften when Treasury draws down its cash balance around debt ceiling episodes. As cash comes out of the TGA and into the banking system, there's more cash available in the funding markets, which should support front-end spreads until the X-date around November 2027 (see [here](#)). Lastly, fiscal deficits and a high interest burden as the Fed delivers hikes should keep market participants focused on the long-term fiscal outlook and future Treasury supply which should weigh on long-end spreads.

FIGURE 3. Front-end spreads have outperformed on the curve...



Source: Bloomberg, Barclays Research

FIGURE 4. ...with 2y spreads trading a touch above our fair value



Source: Bloomberg, Barclays Research

Euro Area: Rates Strategy

Ain't no yield high enough

After the multi-sigma shock of last week, EUR rates have found some support but energy prices remain firmly in the driving seat. We discuss long-end EGB ASW dynamics given the intensity of recent moves, and update our swap positioning indicators.

Peak pain or more in train? Following the [four-sigma shock](#) last Thursday, the pain in EUR rates extended over the next two trading sessions before marginally softer oil and gas prices brought some stability. With key central bank meetings this week, the running question across client conversations has been how far the front-end can go given the purely supply-driven nature of the shock. After all, across key DM central banks, markets are pricing a further c.50-100bp of tightening over the next 12 months. A challenging admission highlighted in these conversations was that despite the cheap levels in EUR rates, the market remained entirely in the throes of energy price developments.

Given the velocity of recent moves across various pockets of the market, things do look stretched but the question is one of conviction and the courage to fade the levels especially given the ECB's message last week. The ECB staff projections from last week show 2027 growth at trend (1.4%) despite being marked off a c.3% terminal rate, ie, the ECB forecast that even with policy rates c.100bp above the middle of its neutral rate zone, the euro area would still be able to grow at trend. To be clear, these growth projections are more optimistic than those of Barclays economists (1.1% for 2027) and hence [they revised their ECB path, adding just one more hike in December](#) this year. While these elevated growth projections lower the bar for a downside surprise, the market is likely to look for real evidence that the energy shock is weighing on growth given the surprise resilience so far. From this perspective, the September flash PMIs will be a key data point. We continue to hold our [ERZ7Z8 flattener](#) recommendation alongside being [long 30y DSL vs 30y Bunds](#).

Beyond the front-end shenanigans, the performance of long-end ASWs and ASW boxes has come into sharper focus in this quarter. In what follows, we discuss why despite a favourable narrative, ASWs and ASW boxes have struggled and where do we go from here.

Rohan Khanna

+44 (0) 20 7773 0533

rohan.khanna1@barclays.com

Barclays, UK

Max Kitson

+44 (0) 20 3134 1456

max.kitson@barclays.com

Barclays, UK

Alessandro Di Spirito

+44 (0) 20 3555 0515

alessandro.dispirito@barclays.com

Barclays, UK

Pratham Hukmat Kingar

+91 (0) 22 6175 2018

prathamhukmat.kingar@barclays.com

Barclays, UK

FIGURE 1. The probability distribution of the ECB's policy path as of end-2026 has shifted right as rate hikes have been delivered, but the shape of the distribution has remained roughly unchanged

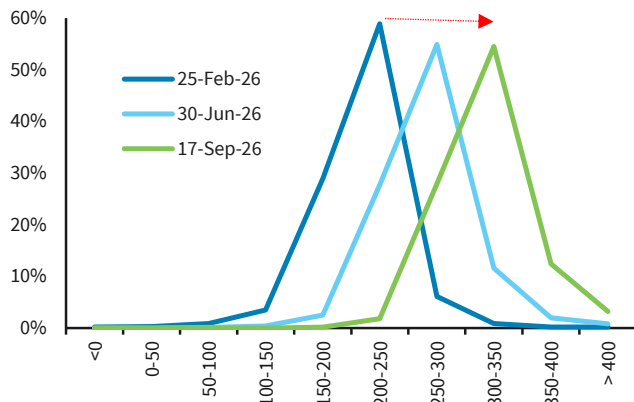


Chart shows swaption market implied probability distribution of ECB policy rate as of end-2026
Source: Bloomberg, Barclays Research

FIGURE 2. The Q3 surge in oil and gas prices has fattened the right-tail of ECB's policy path distribution for end-2027

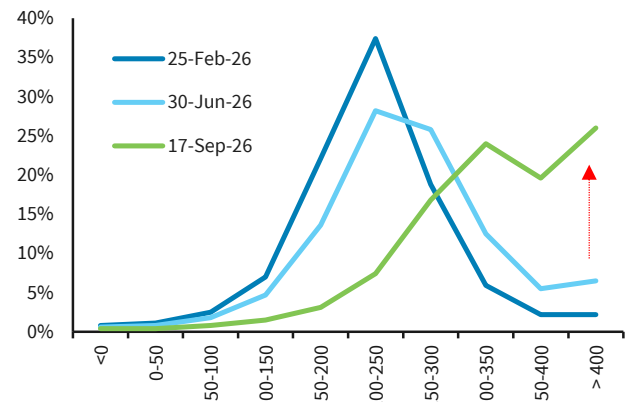


Chart shows swaption market implied probability distribution of ECB policy rate as of end-2027
Source: Bloomberg, Barclays Research

Looking ahead to next week, we have the SNB and Riksbank policy meetings on Thursday, while the data calendar includes the release of flash September PMIs for Germany, France and the euro area on Wednesday. Outside the euro area, flash PMI data from both the UK and the US are also due on Wednesday. On the supply side, German auctions are scheduled on Tuesday and Wednesday, while Italian auctions are scheduled on Thursday. In addition, Germany's Q4 funding outlook will be published next Thursday; we provided a detailed preview [last week](#). On the ratings front, S&P is set to review Ireland (AA+, Stable), while Moody's will review Germany (Aaa, Stable) and Greece (Baa3, Stable) this Friday, 18 September. Moody's is scheduled to review Italy's rating (Baa2, Stable) next Friday, 25 September.

Long-end ASWs: searching for support

Long-end EGB ASWs faced a challenging few years over 2022-24, on growing collateral abundance (with supply/demand imbalances increasing sharply on heavy net supply and QT), alongside elevated front-end yields and flat curves (lessening the relative appeal of long-end EGBs versus shorter-dated paper). In late 2025, however, 30y ASWs were finally starting to show signs of getting their mojo back: Buxl ASW richened close to 20bp over September-December 2025 (with even more impressive legs of richening in the periphery, led by BTPs). These moves were underpinned to a significant extent by notable upward pressure on 30y swap rates, which rose c.30bp over September-December 2025 (versus a more modest increase in 30y German yields, and a modest outright rally in 30y BTPs). This stemmed in large part from anticipation of Dutch transitions to come over 2026-27 (after all, the ECB previously estimated that at the long end, insurance companies and pension funds account for almost half of receive-fixed swaps, the majority of which are held by Dutch PFs in particular).

As 2025 drew to a close, we expected the trend would have room to run, and hence [held on](#) to our long 30y Portugal on ASW coming into 2026. However, a bullish long-end EGB ASW view has faced a stern reality check this year. Even in the first week of January, long-end ASWs started to face cheapening pressure, which then accelerated in March as the US-Iran war commenced. Q2 saw long-end ASWs regain some of their composure, but cheapening pressures re-emerged in Q3, since the start of September especially ([Figure 3](#)). Looking at German ASWs, Buxl ASW is close to 20bp cheaper YTD in outright terms, even as Bund ASW has remained stuck in a narrow

range (ie, Buxl ASW cheapening has underpinned flattening of the Bund/Buxl ASW box). The pain has not been limited to German 30y ASWs alone: 30y French, Italian and Spanish ASWs have faced even greater cheapening pressures, against the backdrop of the new energy shock and French fiscal/political worries.

FIGURE 3. EGB ASWs: performance by quarter

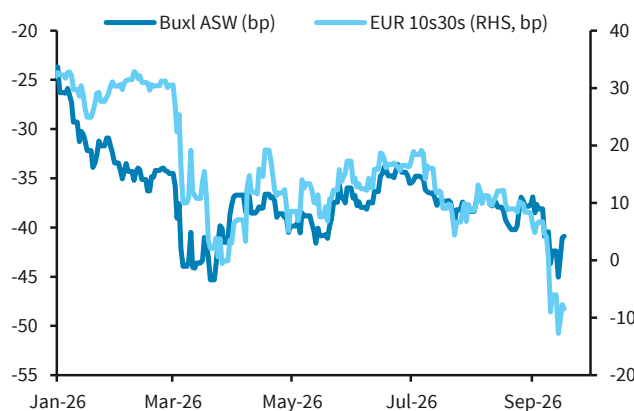
	Current ASW levels				YTD delta				Q1 delta				Q2 delta				Q3 delta			
	2y	5y	10y	30y	2y	5y	10y	30y	2y	5y	10y	30y	2y	5y	10y	30y	2y	5y	10y	30y
Ger	-25	-18	-4	42	-13	-8	0	17	-10	-6	-1	11	3	3	2	-2	-7	-5	0	7
Fra	-4	43	93	169	-8	15	28	46	-6	-2	2	12	2	7	5	5	-3	10	21	30
Ita	-2	35	84	156	-4	6	20	38	6	14	24	39	-6	-11	-14	-17	-3	2	9	16
Spa	-20	0	43	106	-17	-10	5	18	-8	1	5	19	-2	-4	-2	-9	-7	-7	1	8
Bel	-21	16	59	143	-15	-1	13	33	-4	0	8	18	-3	0	-2	-3	-8	-1	7	19
Net	-26	-17	4	39	-13	-14	-4	3	-5	-5	-1	2	-2	1	0	-1	-6	-10	-3	2
Por	-26	-4	33	87	-9	2	6	11	1	8	11	14	-3	0	-5	-9	-7	-6	0	6
Fin	-28	-2	28	74	-19	-10	1	8	-6	-3	2	11	0	3	2	-5	-13	-9	-2	2
Aus	-24	-9	17	64	-13	-17	-7	4	-6	-4	1	13	1	-4	-3	-8	-8	-9	-5	0
Ire	-33	-15	8	53	-12	-13	-9	0	-1	-8	1	6	-1	0	-5	-6	-10	-5	-5	0

Note: ASWs calculated versus 6m EURIBOR

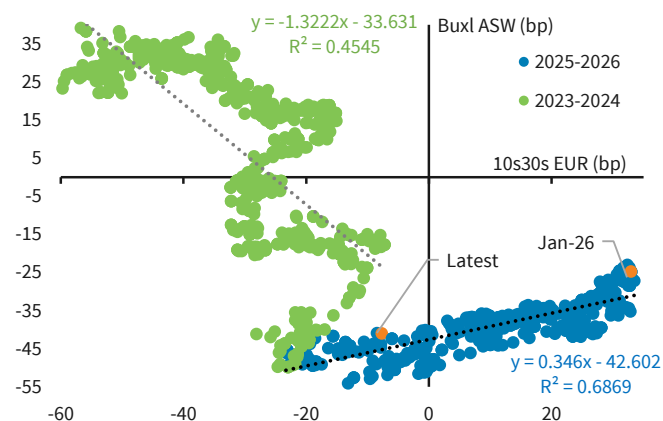
Source: Bloomberg, Barclays Research

Q3's long-end EGB ASW cheapening materialised despite various factors which one might have expected to provide support. These include not only the Dutch transition theme, but also efforts by euro area DMOs to trim the average maturity of issuance, a lightening in the DV01 of EGB issuance in H2 relative to H1, and also anticipation of the changes to Solvency II due to take effect in January 2027. More specifically with respect to Solvency II, the thinking is that changes to the Volatility Adjustment (VA) calculation – which are intended to better align VA calculations to the spread sensitivity of insurer assets – will encourage insurers to increase their long-end bondholdings relative to receive-fixed swap positions (as the new 'CSSR' scaling parameter favours cash EGBs relative to swaps, when calculating VA). Contrary to 2025, however, anticipation of structural tailwinds has failed to support long-end EGB ASWs this year, with sizeable cheapening pressures instead emerging as discussed above. The obvious question in relation to recent performance of long-end ASWs is: **what went wrong?**

To our mind, the struggles of long-end EGB ASWs this year reflect the broader headwinds facing Dutch transition trades. In the context of the energy shock, 1y1y ESTR is up >100bp YTD; the front-end selloff has in turn driven c.40bp of YTD flattening in EUR 10s30s. We think 10s30s steepeners were likely the most crowded position across the EUR rates complex at the start of the year; as such, YTD flattening has forced large-scale stop-outs of these trades (as corroborated by our 10s30s positioning indicator, [Figure 6](#)). At the 30y point, this would of course have manifested as investors being forced to receive in long-end swaps (to exit their steepening positions). Hence, whereas we and others had hoped that relentless paying flows could drive significant richening of long-end ASWs in 2026, stop-outs of long-end steepeners have resulted in a very different backdrop emerging. Indeed, as [Figure 4](#) shows, the performance of Buxl ASW and EUR 10s30s have been closely interlinked this year, with legs of 10s30s flattening tending to coincide with Buxl ASW cheapening (most notably in March, but also in September). This supports the thesis that stop-outs of 10s30s steepeners have been a key source of pain for Buxl ASW longs. Previously, somewhat similar dynamics played out in October-November 2024, with a violent leg of 10s30s flattening over this period coinciding with sharp cheapening pressures in long-end EGB ASWs.

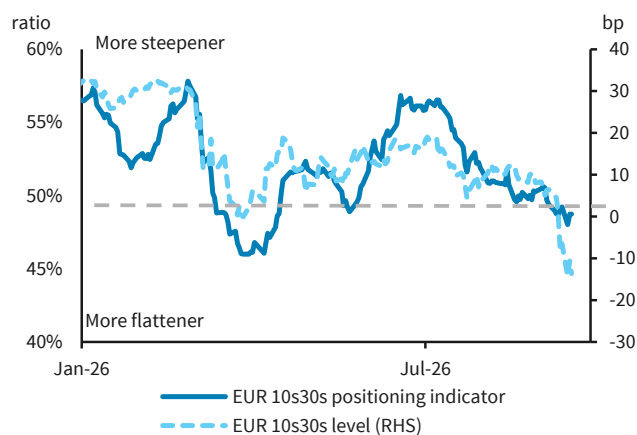
FIGURE 4. Legs of 10s30s swap flattening this year have been closely associated with Buxl ASW cheapening

Source: Bloomberg, Barclays Research

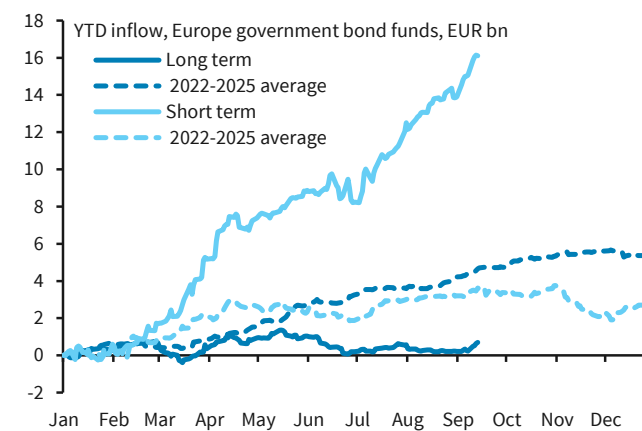
FIGURE 5. In years before 2025, Buxl ASWs displayed a much weaker correlation with EUR 10s30s

Source: Bloomberg, Barclays Research

On the cash leg of long-end EGB ASWs, we think fresh inflationary and fiscal risks stemming from the new energy shock have likely created headwinds for demand this year. ETF flows data provides one signal in this respect: inflows into European long-term government bond funds have been lacklustre YTD, lagging significantly relative to the past four years. Meanwhile, short-term bond funds have seen exceptionally heavy inflows, as illustrated by Figure 7. The key point here is that investors have been dissuaded from taking duration risk in the current macro environment, instead preferring to deploy cash into shorter-duration securities. Alongside positioning pain in 10s30s swap steepeners, we think this dynamic has likely also contributed to the YTD cheapening pressures in long-end EGB ASWs.

FIGURE 6. Heavy positioning in EUR 10s30s swap steepeners earlier in the year likely contributed to subsequent legs of flattening

Source: CFTC SDR, Bloomberg, Barclays Research

FIGURE 7. Inflows into long-duration European government bond ETFs have been notably lacklustre this year, contrasting with much stronger inflows into short-duration ETFs

Source: EPFR, Barclays Research

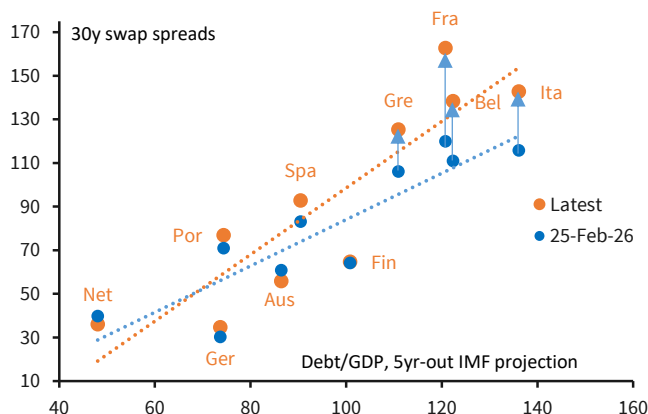
Can long-end EGB ASWs regain their composure? As with many other segments of the EUR rates complex, this question may hinge to a significant extent on energy market developments. A favourable outcome would see energy prices fall sharply on an eventual de-escalation in the Gulf, potentially encouraging investors to re-initiate 10s30s swap curve steepeners (and add duration risk in long-end EGBs). This backdrop would likely also enable several structural tailwinds that have struggled to gain traction this year to reassert themselves. These could

include the changes to Solvency II discussed above, and the next round of Dutch transitions in January 2027 (when PFs accounting for c.€900bn in AUM are expected to transition, as [per the DNB](#)). On the latter topic, the DNB has noted that there will be relatively less scope next year to transfer risk between pension funds at the time of transition (as fewer PFs will still be operating under the old defined-benefit system). Hence, unless 10s30s swap steepening positioning builds up significantly into the event, this likely implies a greater market impact when PFs adjust their hedges (ie, greater upward pressure on 30y swap rates).

The bottom line for us is that eventual easing of the energy shock could enable sustained richening pressures to emerge for long-end EGB ASWs, bearing in mind broader structural themes. By contrast though, if energy prices continue to rise, swap curve flattening pressures (and investor reluctance to add duration risk in long-end EGBs) could ensure continued pain for these structures over the remainder of the year. In any case, we think domestic fundamentals argue for relatively more caution on German and French long-end ASWs; we see better value in other markets, as we discuss in more detail below.

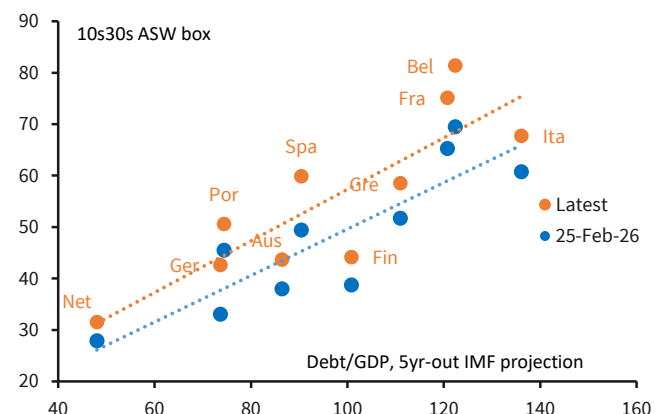
How do valuations look in 30y ASWs across the EGB complex? Figure 8 presents 30y EGB ASWs by country on the y-axis, versus 5-year ahead debt/GDP projections from the IMF on the x-axis. A higher projected debt/GDP level is associated with a cheaper 30y ASW (higher bond yield versus swaps), with the market demanding greater risk premium in sovereigns with worse fiscal profiles. We show current 30y ASW levels, but also levels in late February, just before the shock from the US-Iran war materialised. In this framework, valuations in 30y German ASWs appear unattractive, in the context of Germany's climbing debt/GDP ratio (as borrowing to fund infrastructure/defence spending ramps up sharply). Valuations in Austrian and Finnish 30y ASWs also appear relatively unattractive, with both countries also struggling with upwards trajectories in debt/GDP. Conversely, valuations in 30y French ASWs appear optically cheap: however, we think this reflects a justified risk premium for idiosyncratic French political/fiscal risks, with potential for 30y French ASWs to cheapen further as 2027 elections draw closer. Elsewhere, valuations in Dutch, Portuguese, Spanish and Greek 30y ASWs appear somewhat on the cheaper side relative to debt/GDP profiles. These countries also benefit from relatively contained budget deficits (versus the likes of France, Germany and others), alongside limited idiosyncratic political risks. As such, if the broader backdrop does turn more supportive for 30y EGB ASWs (in terms of energy market and swap curve dynamics), we think these countries could provide interesting opportunities for initiation of longs (potentially on 10s30s boxes, which have moved significantly since the start of the US-Iran conflict).

FIGURE 8. 30y EGB ASWs versus IMF 5y-ahead Debt/GDP projections



Source: Bloomberg, IMF, Barclays Research

FIGURE 9. 10s30s EGB ASW boxes versus IMF Debt/GDP projections



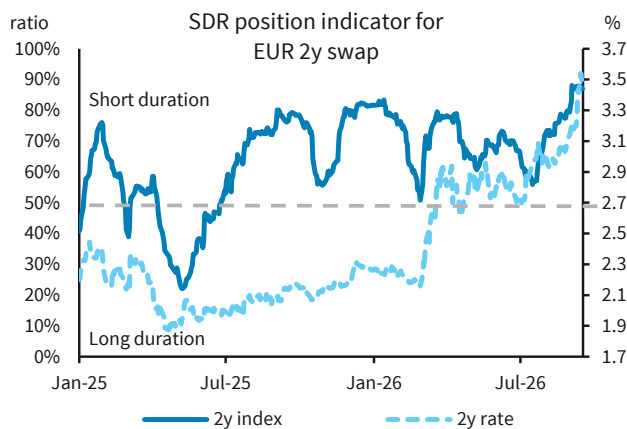
Source: Bloomberg, IMF, Barclays Research

EUR swap positioning update

Our EUR swap positioning trackers are based on transactions reported in the CFTC swap data repository (see [Tracking EUR swap positioning](#), 15 October 2025). The latest update of these indicators are presented below with key findings and charts (16 September is our last datapoint).

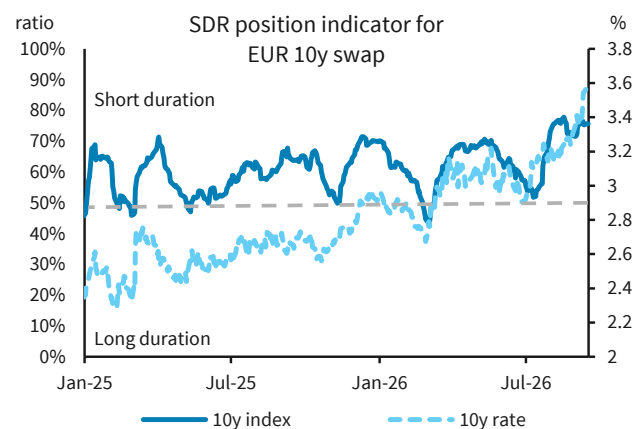
- **Level:** at the 2y point, short positions appear to have been steadily built up since July, with positioning now heavier than at any point since January 2025. Positioning also appears tilted significantly to the short side at the 10y point, albeit with a less striking build-up than at the 2y point.
- **Curve:** in EUR 10s30s, steepener positions appear to have been unwound since early July, with positioning now not too far from neutral. In EUR 2s5s, positioning appears to have tilted increasingly towards flatteners over the past few weeks.
- **Flies:** for EUR 2s5s10s, positioning was tilted significantly to longs in the belly of the fly at the start of June, before turning roughly neutral by the start of July; at present, positioning appears modestly tilted to longs in the belly of the fly. For EUR 5s10s30s, positioning was tilted clearly to longs in the belly of the fly in early July; by early August, positioning had turned roughly neutral, and remains roughly neutral at present.

FIGURE 10. EUR 2y



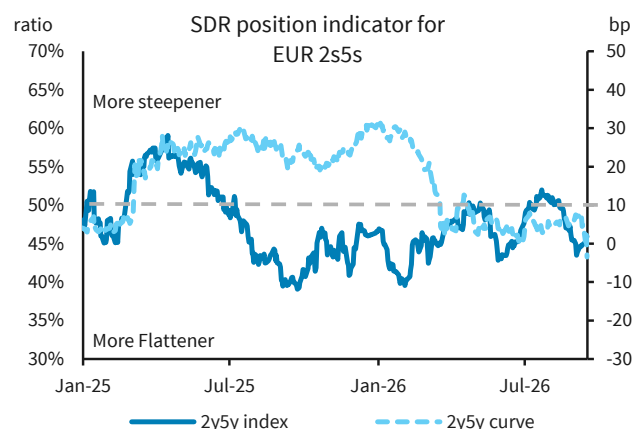
Source: CFTC SDR, Bloomberg, Barclays Research

FIGURE 11. EUR 10y



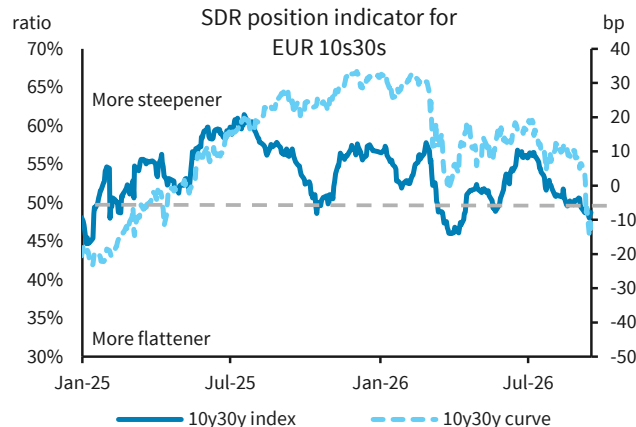
Source: CFTC SDR, Bloomberg, Barclays Research

FIGURE 12. 2s5s curve



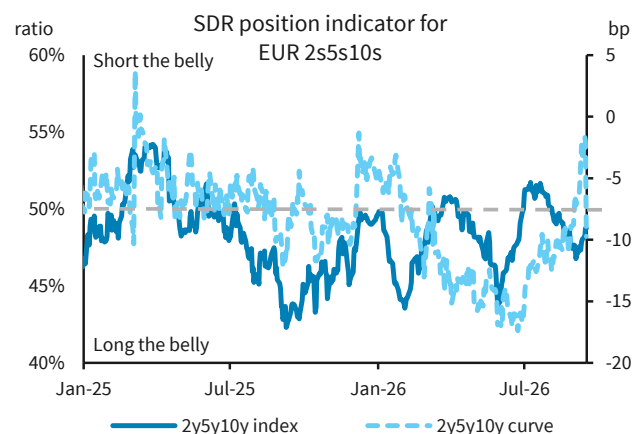
Source: CFTC SDR, Bloomberg, Barclays Research

FIGURE 13. 10s30s curve



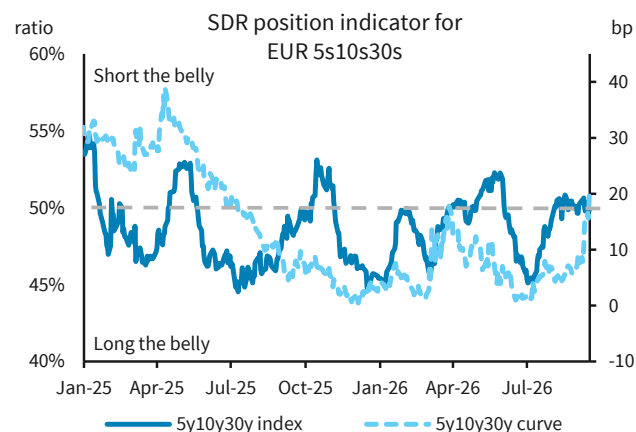
Source: CFTC SDR, Bloomberg, Barclays Research

FIGURE 14. EUR2s5s10s



Source: CFTC SDR, Bloomberg, Barclays Research

FIGURE 15. EUR5s10s30s



Source: CFTC SDR, Bloomberg, Barclays Research

Summary of our trade recommendations

We make no change to our portfolio of recommendations.

FIGURE 16. Summary of our trade recommendations

Open trades	Date entered	Entry	Target	Stop	Current	P&L	Publication in which recommended
ERZ7Z8 flattener	10-Sep-26	-13.0	-35.0	0.0	-10	-3	Four-sigma shocked
Long 30y DSL vs Bunds	20-May-26	2.0	-10.0	10.0	-2	4	DSL-Bund: closing the gap
Recently closed trades	Date entered/closed	Entry	Target	Stop	Close	P&L	Publication in which recommended
Long Dec-26 MPC versus Dec-26 ECB	12-Jun-26/9-Sep-26	150	100	175	137	13	Riding the roller-coaster

The history of Barclays Research investment recommendations can be found [here](#). Market levels for open trades captured at 1400 London time, 17 September

Source: Bloomberg, Barclays Research

UK: Rates Strategy

The long(s) goodbye

A significant revamp of QT sees it enter a new multiyear phase. Structurally, gilt spreads in the 2029-34 part of the curve can richen. The long end of the curve is now starved of meaningful supply, with ultras standing out as the main beneficiary.

Moyeen Islam

+44 (0) 20 7773 4675

moyeen.islam@barclays.com

Barclays, UK

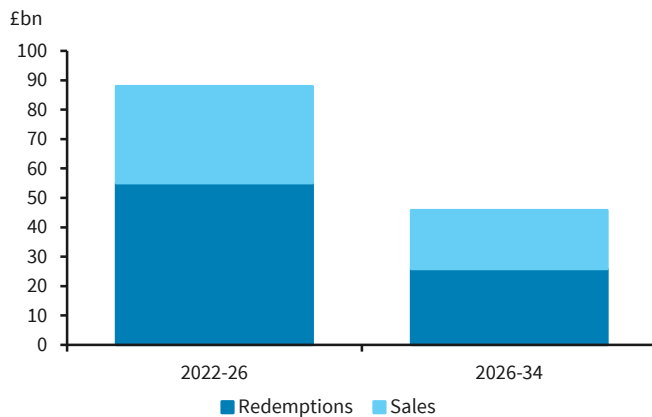
QT: Endgame

September's QT decision was expected to be relatively routine, with the MPC widely anticipated to authorise a £50bn reduction in its gilt portfolio, with £31bn of passive reduction and £19bn of active selling. Instead, the Bank outlined a multiyear model of reduction that will see it run down the APF gilt book to zero by 2034. The main details are:

- The Bank will run down its £488bn gilt portfolio at an annual average pace of £46bn by the end of 2034 via annual sales of £20bn plus maturing bonds.
- APF gilt holdings of bonds maturing by December 2034 will not be sold and held to maturity (£222bn).
- APF bonds maturing after December 2048 will be held to maturity as an asset backing current and future note supply (£120bn). This is a return to the 2005-08 balance sheet structure.
- APF gilts maturing between 2035 and 2049 (£146bn) will be sold to the DMO, not the market. Operational details will be announced in April 2027. Between now and then, there will be no active selling from the APF.

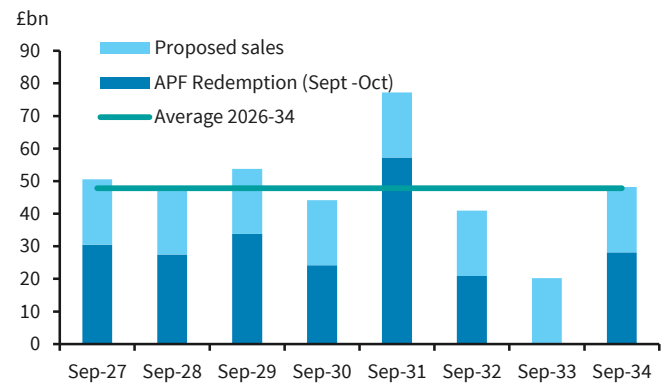
Overall pace of QT now expected to slow from 2022-26 rate

Figure 1 compares the 2022-26 QT reductions versus what has been outlined in the September decision. The average reduction between 2022 and 2026 was £87.5bn. This broke down as £55bn in passive unwinds and £32bn in active selling. The pace of active selling, at £20bn, will be £12bn lower and the average maturity drops to £25.8bn, so the overall pace of unwind is slowing. **Figure 2** shows the projected annual profile of unwinds between 2026 and 2034. Over the next few years, the pace of proposed reduction from the APF is fairly even between £47bn and £53bn, in line with market expectations for 2026-27. But by reducing the pace of selling when compared with 2022-26, the Bank is implicitly taking some of the operational pressure off its repo operations, which, as we have previously [noted](#), had been growing faster than the reserve reduction via the APF. By stabilising the APF rundown, it allows the STR and ILTR to grow at a slower rate and provides a greater degree of control over the move towards the equilibrium level of reserves.

FIGURE 1. Comparing QT phases: Slowdown

Source: Bank of England, Barclays Research

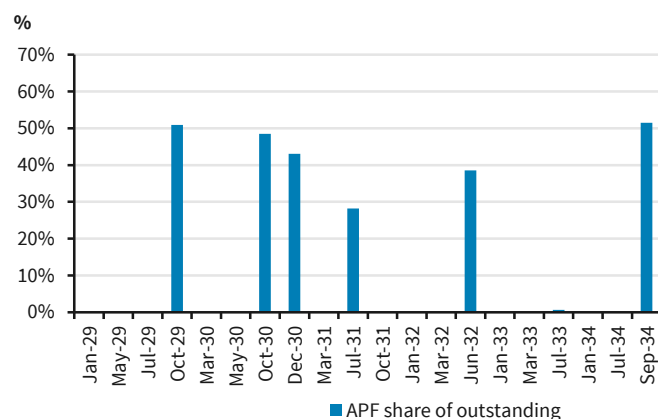
*Short-dated ASW can
richen further*

FIGURE 2. APF planned unwind profile 2026-34

Source: Bank of England, Barclays Research

The decision not to sell any issues maturing before 2034 and after 2049 is perhaps the most significant part of the announcement. In effect, the Bank's actions put pressure on swap spreads in the 10-25y sector while protecting the sub-10y and >20y parts of the term structure. Previously, the operational parameters of QT meant that the Bank did not sell any gilts with residual maturity of less than three years. Ahead of the announcement, that was around £84bn in nominal terms. By shifting the "hold to maturity" window to 2034, the Bank is permanently removing a potential £113bn of gilts (in nominal terms) that would otherwise have been available to the market via APF sales. Of the seven issues in the 2029-34 window in legacy holdings, for six of them, the percentage of the issue held in the APF is between 30% and 50% (Figure 3). These issues will be vulnerable to structural richening on the ASW curve, as over time, without the prospect of supply from the DMO, the risk is that the bonds will increase in terms of scarcity and specialness in repo.

As we understand it, the Bank is keeping the APF repo lending facility open to deal with any dislocations due to repo demand and, separately, the DMO standing repo facilities remain active. Looking at the ASW curve in this sector, bonds that are owned by the APF in size already trade rich in RV (Figure 4). The exception is the July 2033, but that is because the APF's holdings are negligible (£270mn). Nonetheless, it is notable that the premium on the Sep-2034 is not as pronounced as we see in some of the other issues, so it should begin to richen over time. The decision not to hold any operations before the publication of the operating modalities of sales to the DMO next April effectively takes c.£10bn of gilt supply out of the market (ie, around half the expected £19bn of active selling, as October to April covers around half of the old 12m QT cycle), most of which will have been in this sector.

FIGURE 3. BoE ownership of 2029-34 gilts in 30-50%

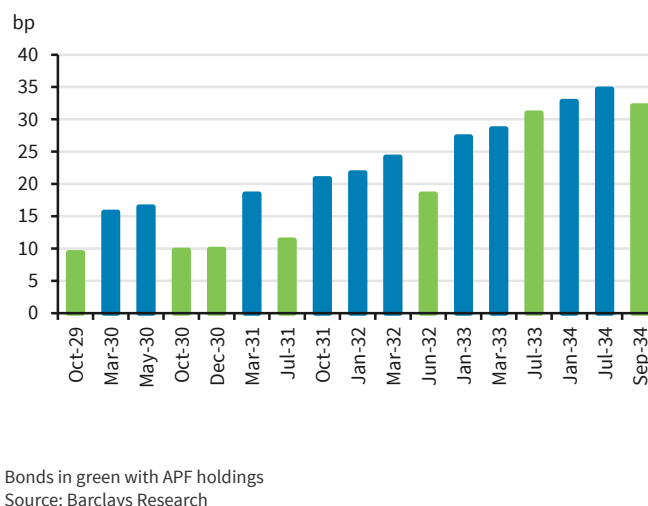
Source: Bank of England and UK DMO

Say goodbye to long supply

The effect on the long end is even more stark. It was always acknowledged that supply of long duration from the APF and DMO was likely to be extremely limited. But the announcement to not sell any of its post-2049 maturities means that the APF can no longer be seen as a limited source of ultra-long gilt supply. It strikes us as unlikely that the DMO will be inclined to reopen long lines at current yields in any meaningful manner, so there is little prospect of any long conventional supply for an extended period. The move in long-end RV should not be as pronounced as that seen in the front end since the Bank's holdings are not as relevant and there was no expectation of significant APF supply ironing out holdings. The APF's long holdings are concentrated in 2044-52 and 2054-60 maturities so it will be interesting to see if these bonds now become natural candidates for the DMO's tender programme.

Open question as to how purchases will be financed

The selling of debt to the DMO rather than the market would require modest increases in gilt supply. However, in the context of a gross financing requirement of around £275-300bn, any increase likely would be comparatively limited. Of interest to the market will be whether any increase will be mirrored with an increase in bill supply (ie, a "twist" type outcome) or more evenly distributed across the curve. In the absence of any details, it is nigh on impossible to say what might happen. The DMO could effectively finance the gilts across the curve, but whether this comes in bills or shorts and mediums, it does not increase long conventional issuance and continues the trend of declining WAM of supply. It remains unclear what the DMO will do with its newly acquired gilts. Paragraph 44 of the September minutes obliquely alludes to the MPC discussing the DMO's "ability to retire bonds", but this is something that would have to be done in consultation with the market, given the implications for market indices. All told, the Bank and DMO have created a very positive environment for long-dated gilt spreads and the long end of the curve by creating a genuine shortage of paper that is unlikely to be alleviated any time soon.

FIGURE 4. 2029-34 gilt ASW curveBonds in green with APF holdings
Source: Barclays Research

CHF and SEK: Rates Strategy

Clinging on

The SNB and the Riksbank meet next week against a challenging backdrop of surging energy prices and ongoing FX weakness. While both are set to remain on hold, we expect their communication to shift incrementally more hawkish, albeit to different degrees.

The SNB and the Riksbank meet next week (both 24 September) against a challenging backdrop of surging energy prices and ongoing weakness in the Swiss franc and Swedish krona as peers tighten policy. Even so, both central banks are likely to stay on hold, at least for now. Please see below for our [SNB](#) and [Riksbank](#) previews in more detail.

Overall, we expect both central banks to tilt their communication incrementally more hawkish, acknowledging that while domestic inflation dynamics remain relatively benign, inflation risks are becoming increasingly global in nature. In that sense, there is a risk of missing the forest for the trees, as [Thedéen](#) put it in June. Of the two, the Riksbank is likely to be under greater pressure at this stage. We expect the Board to signal, à la BoE today, a readiness to hike as soon as the next meeting should the energy outlook fail to improve and the data remain resilient, not least given the more pronounced depreciation of the SEK.

The question, however, is the extent to which this shift is already priced. Our sense is that, with around 40bp priced by December (roughly equally split across November and December) and close to 100bp by June, a lot is already in the price for the Riksbank. For the SNB, our bias remains that a December hike is a high bar, but with 10bp priced, we would look for a better margin in this environment (closer to the levels seen earlier in the week). For the SNB, the most hawkish outcome would involve explicitly opening the door to a December hike, while retaining the language that medium-term inflationary pressures remain "virtually unchanged" would be interpreted dovishly.

Alessandro Di Spirito

+44 (0) 20 3555 0515

alessandro.dispirito@barclays.com

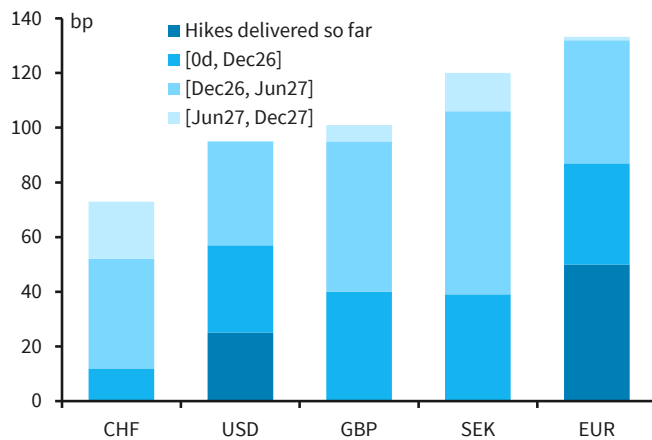
Barclays, UK

Rohan Khanna

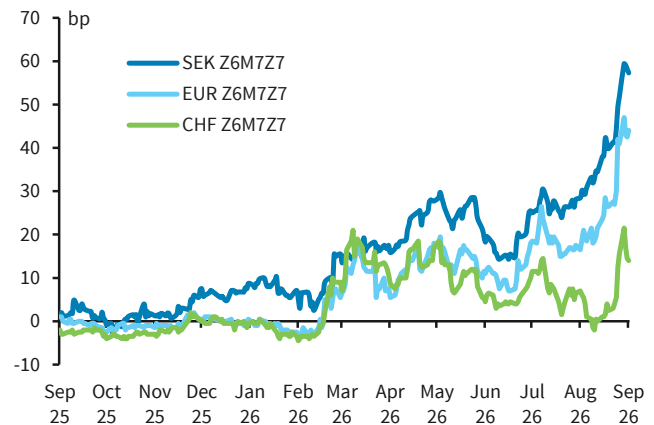
+44 (0) 20 7773 0533

rohan.khanna1@barclays.com

Barclays, UK

FIGURE 1. After the ECB, the Riksbank path is priced as the most hawkish

Source: Bloomberg, Barclays Research

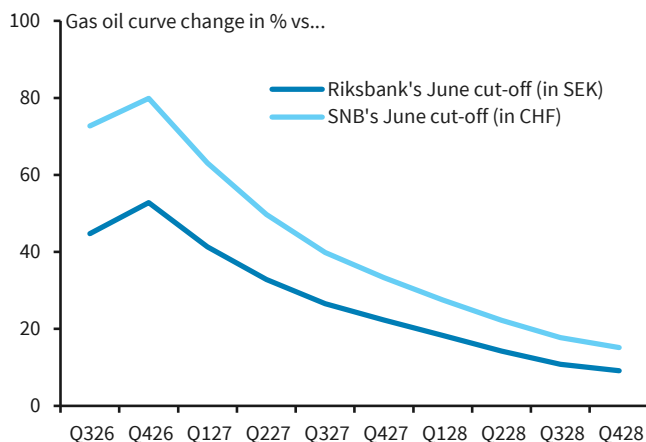
FIGURE 2. Z6M7Z7 curves have bear-steepened sharply in September, with Z6M7Z7 selling off

Source: Bloomberg, Barclays Research

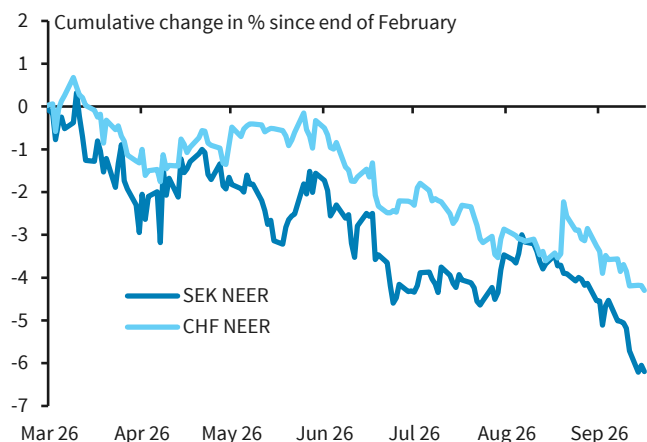
SNB

At its last meeting in June, the SNB lifted its near-term inflation path modestly, but kept the entire forecast profile below 1%, arguing that the medium-term inflation trajectory was "virtually unchanged". As such, the central bank signalled comfort with its 0% policy rate and a one-year ahead implied real policy rate stuck around -0.5%. At the same time, it reiterated its willingness to intervene in the FX market amid ongoing geopolitical uncertainty. That said, it acknowledged that the franc had depreciated since the previous meeting in March, which contributed to an easing in financial conditions.

Activity data has been strong since the June meeting. GDP rose by a robust 1.5% q/q in sport-event-adjusted terms, supported in part by a sharp acceleration in exports (excluding valuables), which, however, tends to be a relatively volatile series. Moreover, whether one looks at the PMIs, the KOF leading indicator, the SNB's own business cycle index or the SECO confidence indicators, all point to positive momentum extending into Q3. This suggests that 2026 growth, which the SNB expected at around 1%, is now running closer to 2%. That said, at 3.1%, the SECO unemployment rate remains at its highest level in five years.

FIGURE 3. Energy prices are up substantially since the June SNB and Riksbank meetings...

Source: Bloomberg, Barclays Research

FIGURE 4. ...and both the krona and the franc have depreciated markedly since the Iran conflict

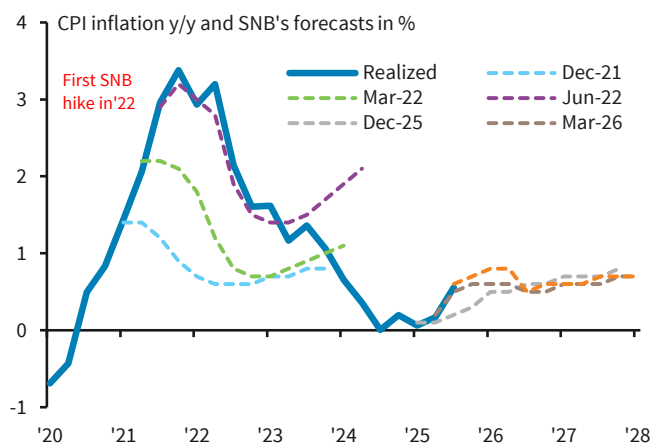
Source: Bloomberg, Barclays Research

For the SNB, however, it is largely all about inflation. There, developments so far have been in line with the central bank's forecasts. After a very soft July print of 0.35% y/y, inflation rebounded sharply to 0.8% in August. The Q3 average remains on track to round to 0.7%, as envisaged in June. In fact, historically, between 2021 and 2025, September m/m inflation has printed between -0.3% and 0% NSA, and given where we stand, September would need to come in above that range for the Q3 average to round up to 0.8%. Our base case is that it doesn't.

Looking at developments since the start of the Iran conflict, petroleum products account for the entire 0.7pp increase in headline inflation since February. Small accelerations in core goods inflation and rents have offset an equivalent moderation in core services and FAT. As such, when looking at measures of underlying inflation, the SFSO core 1 inflation rate currently stands at 0.4%, broadly where it was at the start of the year and prior to the outbreak of the Iran conflict. The same is true for CPI excluding petroleum products, which is running at 0.3%. Finally, core import and producer prices remain in negative territory. Overall, there is still little evidence, at least for now, that higher energy prices are feeding through into broader underlying inflation pressures.

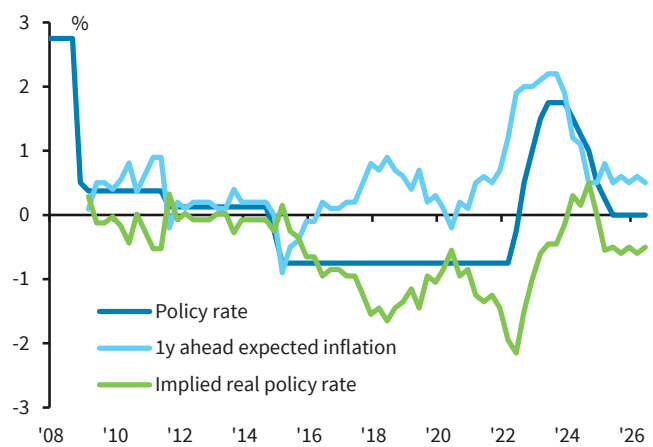
Schlegel's recent omission of references to inflationary pressures being "virtually unchanged" and to the SNB's heightened willingness to intervene in FX markets was interpreted by some as a hawkish shift, especially given [Tschudin's](#) slides only days earlier (and ahead of the CPI) still contained both references. Arguably, it no longer makes much sense for the SNB to emphasise a heightened willingness to intervene in FX markets at a time when the franc is weakening, with the risk of adding further fuel to the fire. To that extent, we think there is scope for this language to disappear from the policy statement, with the SNB acknowledging the shift in the FX backdrop.

FIGURE 5. Post-Iran, the SNB raised the near-term inflation path while leaving the medium-term profile unchanged...



Source: Haver Analytics, Bloomberg, Barclays Research

FIGURE 6. ...and as such the implied real policy rate was little changed



We construct the implied real policy rate series as the difference between the policy rate at each meeting and the 1y ahead CPI y/y forecast at each round.

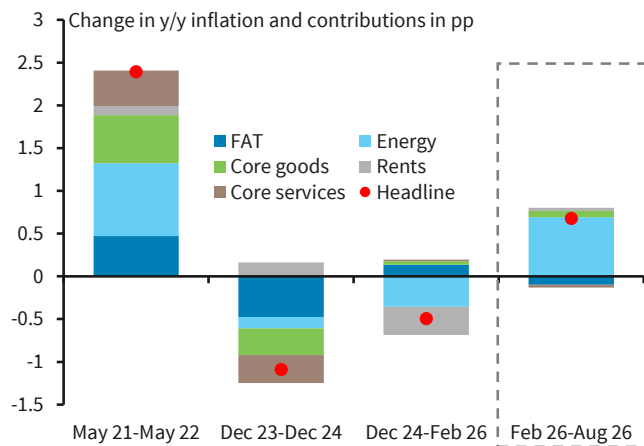
Source: Haver Analytics, Bloomberg, Barclays Research

We think the Board, much as it did in January, will signal that the weakening of the franc has eased financial conditions and that, together with recent energy price developments, this poses upside risks to inflation. **However, we expect it to stop short of signalling that a policy rate hike is likely as soon as the December meeting.**

There are a few reasons why we think a December hike remains a high bar. First, while we expect the SNB to lift its inflation path by around 0.1pp in 2026 and 0.2-0.3pp in 2027 (the [SECO](#)

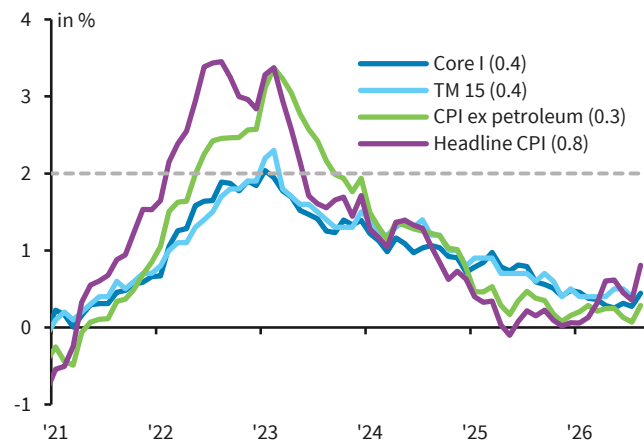
has left its Sep forecasts unchanged vs. June, though), this would still leave the medium-term forecast at or below 1%. It is also worth noting that the pass-through from higher wholesale energy prices to Swiss CPI is lower than in the euro area, not only because energy carries a smaller weight in the basket (around 5% versus 9% in the euro area), but also because electricity prices (c.2% of basket) react to developments in gas with a longer lag. Electricity tariffs for households are set only once a year and the 2027 ones have already been announced, pointing to a roughly 4% decline, in line with 2026. With the medium-term inflation profile at/below 1%, it would be difficult for the SNB to credibly argue that tighter policy might be required as soon as its next meeting.

FIGURE 7. Energy has driven all of the acceleration in headline inflation since the Iran conflict began



The chart shows the change in inflation between the start and end of each period indicated on the x-axis. It decomposes how much inflation accelerated or decelerated over each window, and which components were behind the move.
Source: Haver Analytics, Barclays Research

FIGURE 8. Underlying inflation remains well below 1%



The latest available data point for TM15 is July, whereas August data are available for all other measures.

Source: Haver Analytics, Barclays Research

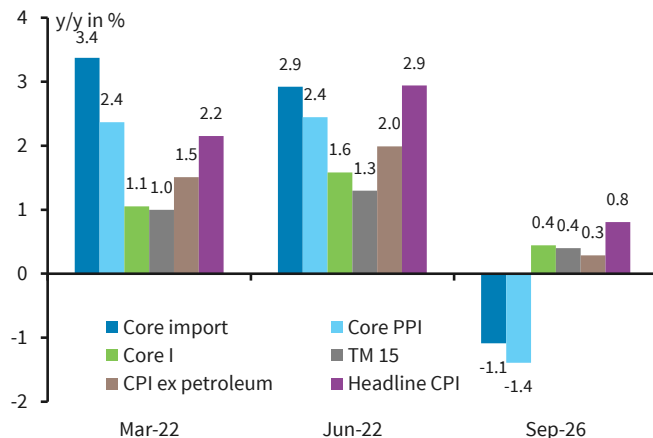
Second, on the currency, it is true that the franc has depreciated since the end of February, but it is only around 2% weaker in NEER terms on a y/y basis and still c.3% stronger than on 'Liberation Day'. Even if the franc were to continue weakening from here, it would take time for this to feed through into consumer prices (with an impact of c.0.1pp per each 1% move in FX for the overall CPI basket after 12 months). To this point, y/y core import and producer prices remain well into negative territory.

Third, even if y/y energy and fuel inflation were to double from the roughly 12% y/y we expect in September to 24% y/y in November — the last inflation print ahead of the December meeting — headline inflation would still likely print below 2% (Figure 10). When the SNB embarked on its hiking cycle in June 2022, headline inflation (based on the latest data available at the time) stood at 2.9% y/y and underlying inflationary pressures were broader than they are today. We are not arguing that the SNB will wait for inflation to return to those levels before acting. After all, the ECB itself moved much earlier this time than in 2022. However, unlike the ECB and others, the SNB entered this episode with core inflation at around 0% and we are still close to those levels. For the SNB to deliver hikes, it likely needs to see clearer signs that inflationary pressures are broadening between now and December. Otherwise, it risks finding itself back to square one should energy prices later reverse and narrower rate differentials put renewed upward pressure on the franc.

That said, beyond December, the path remains heavily dependent on energy developments. If the energy shock does not dissipate and peer central banks continue to tighten policy, the recent depreciation in the franc could extend and/or intensify, ultimately

leaving the SNB with little choice but to tighten policy in H1 next year. Ultimately, it is admittedly difficult to envisage a scenario in which the ECB delivers around 130bp of hikes over this cycle while the SNB does nothing. Equally, should the tail risk of a reopening of the Strait of Hormuz materialise in the near term, it is difficult to see the SNB delivering any hikes by then unless other sources of inflationary pressure begin to emerge.

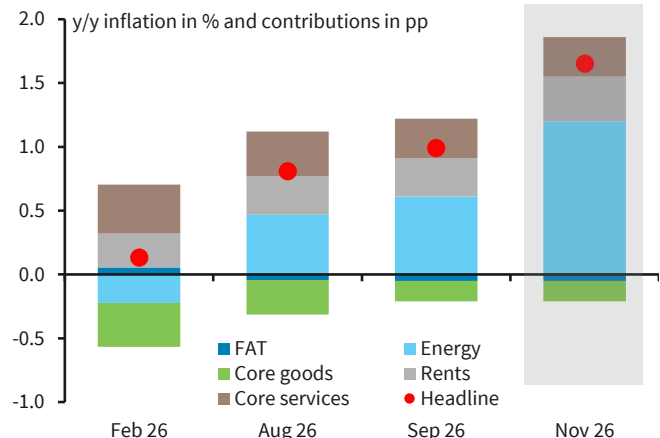
FIGURE 9. At this stage of the cycle, inflationary pressures were much higher back in 2022



We show the latest inflation indicators available at the time of the March 2022, June 2022 and September 2026 meetings. In 2022, the SNB delivered its first rate hike at its June meeting.

Source: Haver Analytics, Barclays Research

FIGURE 10. Inflation is likely to stay under 2% until the December meeting



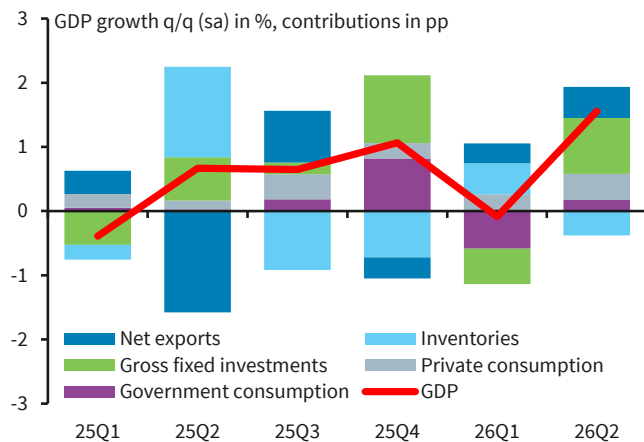
September shows our inflation tracking. November is not a forecast but rather an illustration. It assumes that y/y energy and fuel inflation doubles from the roughly 12% y/y we expect in September to 24% y/y in November. This would require m/m energy price increases stronger than those seen at the start of the conflict and assumes some additional firming in rents in November. We also pencil in a modest acceleration in rent inflation in November, due to base effects.

Source: Bloomberg, Barclays Research

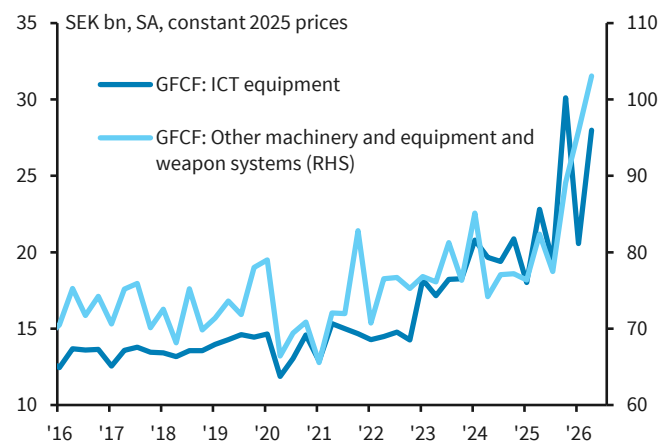
Riksbank

We discussed the outcome of the August meeting [here](#) and [here](#). To summarise, the Riksbank argued that the policy rate path communicated in June, which implied a relatively low probability of a hike by September and a c.50% chance of a hike by December, remained valid. The main argument was that the upside inflation surprise over the summer largely reflected volatile travel-related components, while labour market conditions remained soft and companies price plans subdued. At the same time, the Board appeared increasingly more comfortable contemplating rate hikes given ongoing strength in economic activity.

The data released since the meeting show that Q2 growth, at 1.6% q/q, was even stronger than the 1.4% implied by the quarterly GDP indicator (and nearly double the 0.9% the Riksbank had pencilled in at the time of the June meeting). The underlying strength was broad-based: fixed investment did the heavy lifting, contributing around 0.9pp, but private consumption contribution was also solid at c.0.4pp. Under the hood, investment growth was concentrated in ICT equipment (likely AI-related) and the "other machinery and weapon systems" category, both of which have been trending higher for some time now. Elsewhere, the August NIER Economic Tendency Survey (ETS) continued to grind higher as consumer confidence recovers from relatively low levels, pointing to positive momentum carrying into Q3, and so does the [Riksbank's own business survey](#). Monthly household consumption kept growing at a healthy pace in July and August.

FIGURE 11. GDP rebounded sharply in Q2, driven by fixed investments...

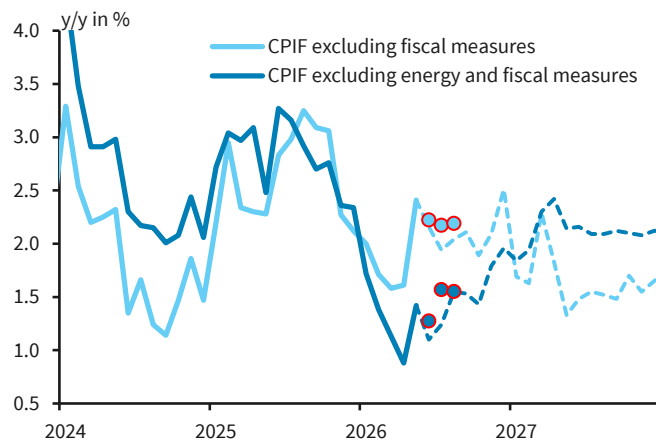
Source: Haver Analytics, Barclays Research

FIGURE 12. ...in turn driven by ICT equipment and other machinery and weapon systems

Source: Haver Analytics, Barclays Research

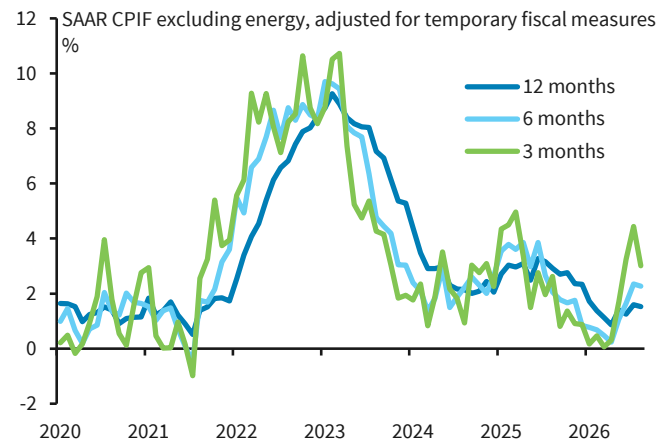
Labour market data, however, continue to point to softer developments than the Riksbank had pencilled in at the time of the June meeting. Specifically, Q2 unemployment came in slightly above the central bank's forecast of c.8.60% and, based on data through August released this week, appears to be tracking above its Q3 projection as well, remaining not far from local peaks. Also, employment indications from the NIER ETS and PMI surveys, especially outside of the manufacturing sector, remain subdued.

On inflation, recent data have at least partially vindicated the Board's view that the summer rise in non-energy prices was likely to prove temporary. Partially because the decline in y/y CPIF excluding energy in August was driven more by core goods than the travel-related services items the Riksbank had been pointing to. Either way, after overshooting the central bank's forecast by as much as 0.3-0.4pp, CPIF excluding energy has now returned fully in line with the June projection, at 1.55% y/y after adjusting for the impact of current fiscal measures (0.5% otherwise). As a result, short-term momentum indicators in adjusted CPIF excluding energy have eased from local peaks, though 3m and 6m SAAR are still above 2%. Headline CPIF is running slightly firmer than the Riksbank had pencilled in (c.0.2pp) due to higher energy prices, now at 2.2% y/y when adjusting for the impact of fiscal measures and 0.7% otherwise.

FIGURE 13. CPIF excluding energy is back in line with the Riksbank's forecast...

Red circled dots refer to outcomes post the June meeting. Dotted lines refer to the latest Riksbank forecasts.

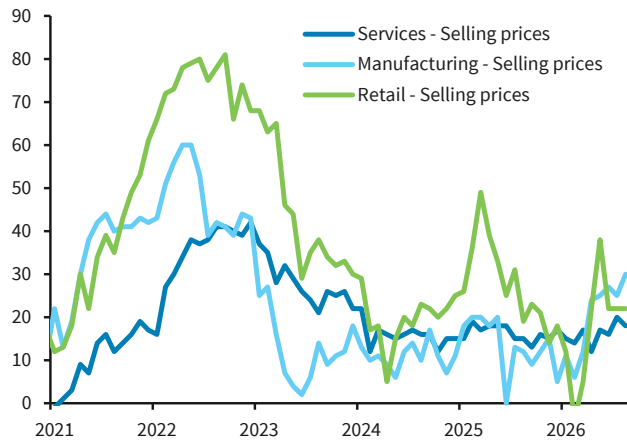
Source: Bloomberg, Riksbank, Barclays Research

FIGURE 14. ...with momentum having decelerated from local highs

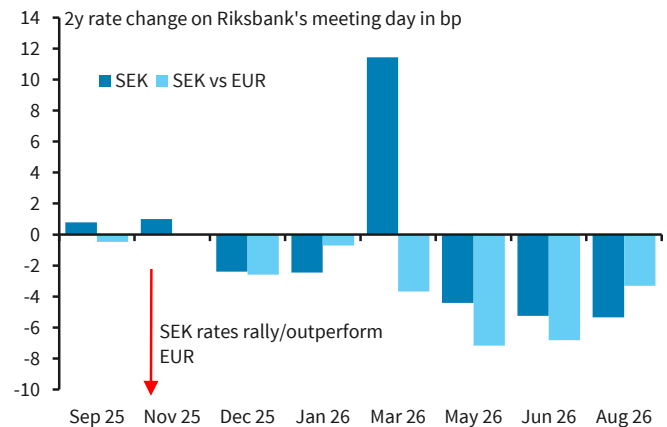
Source: Riksbank, Haver Analytics, Barclays Research

Where does all this leave us? Ultimately, the data received since the August meeting have done little to move the needle in favour of a September hike. Spot underlying inflation pressures have fallen back to where the bank expected them to be in June, firms' pricing plans from the ETS and the Riksbank's own business survey have failed to show a convincing rebound, and labour market indicators continue to point to still relatively soft conditions.

However, the worsening energy outlook as the Iran conflict persists, coupled with a weaker krona, should be enough to lead the Riksbank to adjust its policy-rate path in a hawkish direction. Recall that the Riksbank has [argued](#) that the krona's depreciation was one of the key reasons behind the sharp increase in inflationary pressures in 2022-23, with staff estimates suggesting a pass-through of around 0.7pp for every 10% weakening in the currency, and [significantly more so](#) during periods of elevated inflation and geopolitical stress. We are admittedly far from the FX developments seen at the time, when EURSEK rose by around 16% between October 2021 and October 2023, whereas the krona is currently only marginally weaker in y/y terms. But that in itself does not mean it cannot weaken further if the timing of policy adjustments keep being pushed back.

FIGURE 15. Outside manufacturing, price intentions remained close to historical norms in August

Source: Haver Analytics, Barclays Research

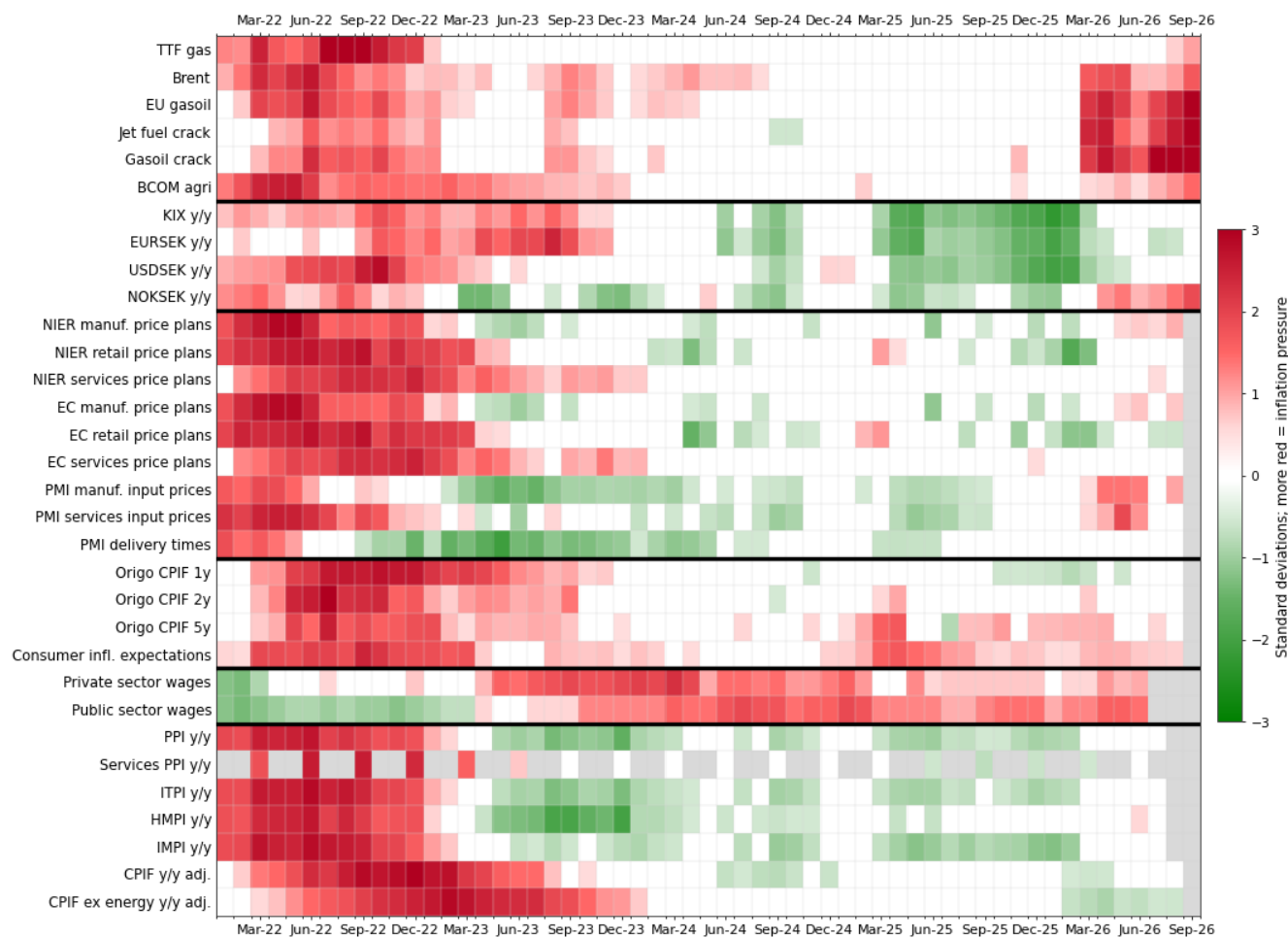
FIGURE 16. The SEK front end rallied and outperformed on each of the last three Riksbank meetings

Source: Bloomberg, Barclays Research

All in all, we expect the Riksbank to upgrade its GDP (closer to the March MPR) and inflation forecasts for 2026 and 2027 and bring forward its policy-rate path, signalling an earlier return to 2.25%, with rising probability of hikes as soon as this year, rather than a materially higher peak rate, for now. As noted, headline inflation has already been running above the central bank's June projections, and the subsequent rise in energy prices, coupled with a weaker SEK (the KIX index is currently around 4% weaker than the projected Q4 average) and stronger activity, suggests that the risks are skewed towards underlying inflation picking up more quickly from here, as well. As such, we think CPIF excluding energy for 2026 and 2027 will be revised up by 0.1 and 0.2pp, respectively. In turn, the combination of firmer growth and rising price pressures should provide the basis for a more front-loaded policy-rate path.

Finally, we think there is a risk that the Riksbank re-introduces references to the FX channel in its press statement (the last time the krona was mentioned was in January 2026, albeit in the opposite context, with the focus then on the risks associated with a stronger currency). Should the Board instead continue to downplay recent FX developments, as Thedéen did in August, this would be taken dovishly, as it would suggest that the Riksbank does not feel pressured to react to tightening elsewhere and still views a wait-and-see approach as appropriate.

FIGURE 17. Selected price indicators in Sweden



Z-scores are calculated using the full available sample and displayed from January 2022 onwards. CPIF and CPIF excluding energy y/y are adjusted for the effects of temporary fiscal measures from 2026 onwards. Grey cells indicate data unavailable.
Source: Riksbank, Bloomberg, Haver Analytics, Barclays Research

Japan: Rates Strategy

Focus on market pricing of BoJ hikes after Gov. Ueda presser

Activity was light ahead of the BoJ meeting. The curve bear-steepened after the 20y auction, but subsequent buying limited the weekly move. The cabinet reshuffle/LDP appointments had little market impact. Focus now turns to how Gov. Ueda's press conference shifts market pricing of future BoJ hikes.

Shinichiro Kadota

+81 3 4530 1374

shinichiro.kadota2@barclays.com

BSJL, Japan

Ayao Ehara

+ 81 3 4530 1379

ayao.ehara@barclays.com

BSJL, Japan

This week: Modest bear steepening, but buying emerges with sharp rises in yield

[Shinichiro Kadota](#) BSJL, Japan | [Ayao Ehara](#) BSJL, Japan

With activity subdued immediately ahead of the BoJ meeting on Thursday-Friday, the curve bear-steepened modestly this week, with the 10y and 40y sectors slightly outperforming. The JGB market bear-steepened at the outset, reflecting higher oil prices and overseas yields. The following day's 20y JGB auction was weak, in line with our forecast, and a headline that defense-related spending could amount to 3.5% of nominal GDP (Bloomberg, 15 September) prompted further bear-steepening. However, buying emerged after the sharp steepening from the start of the week, and yields subsequently declined in the latter half, leaving the curve only modestly bear-steeper for the week as a whole.

The government considers raising defense spending to 3.5% of GDP. In step with NATO and US allies such as Korea, Japan is considering setting a medium-term target of 3.5% of GDP, although 3% also appears possible. Japan plans to revise its three security-related documents by year-end, including the Defense Buildup Program setting out required defense spending over the next five years. Defense spending under a 3.5% target would reach JPY24trn (Bloomberg, 15 September). Chief Cabinet Secretary Kihara has also reiterated that new government bond issuance in FY27 will be around JPY40trn (Reuters, 14 September).

On 15 September, the government approved the FY27 tax reform outline. It states that the consumption tax rate on food will be reduced from 8% to 1% for two years from April 2027. In addition, a new benefit program will be fully introduced from FY29, with advance payments to middle-income households in FY27-28 equivalent to the revenue from 1pp of the consumption tax (Nikkei, 15 September).

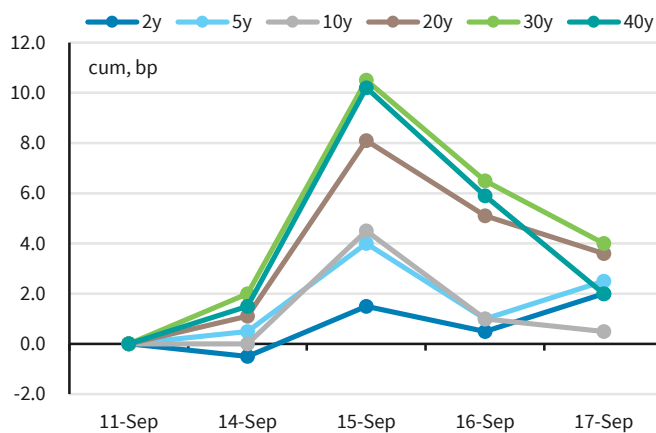
No major changes overall in the LDP leadership appointments or cabinet reshuffle. In the party appointments, Taro Aso remained vice president, Shunichi Suzuki remained secretary-general, Hiroshi Kajiyama became General Council chair, Takayuki Kobayashi remained Policy Research Council chair, Yasutoshi Nishimura remained Election Strategy Committee chair and Yoshitaka Murai became Diet Affairs Committee chair. By retaining key personnel and preserving intermediaries with Nippon Ishin and the Democratic Party for the People (DPP), the

appointments appear intended to facilitate management of the extraordinary Diet session, where the ruling coalition remains a minority in the Upper House, and to prepare for the autumn party leadership election (Nikkei, 16 September). In the cabinet reshuffle, Finance Minister Katayama, Foreign Minister Motegi, Defense Minister Koizumi, Economy, Trade and Industry Minister Akazawa, Health, Labour and Welfare Minister Ueno, Growth Strategy Minister Kiuchi, and Chief Cabinet Secretary Kihara retained their posts. Yoshimasa Hayashi left the cabinet and was replaced by Hisayuki Fujii. Hiroshi Nakatsuka joined the cabinet from Nippon Ishin and was appointed minister responsible for regulatory reform (Sankei, 17 September).

On 14 September, Fitch Ratings said it was in no hurry to change Japan's rating. In an interview with NQN, Fitch's Jeremy Zook said Japan's fiscal position is improving and revenue is strong, so even if fiscal policy becomes somewhat more expansionary, it would not place enough pressure on the overall balance to become unmanageable. Fitch therefore intends to assess future developments before changing the current A rating. He added that a decline in the debt-to-GDP ratio would put upward pressure on the rating; that if yen rates rise significantly above 3%, the government's interest burden will increase rapidly; and that if long-term rates remain around 3%, the debt-to-GDP ratio should decline and stabilize over the next four to five years.

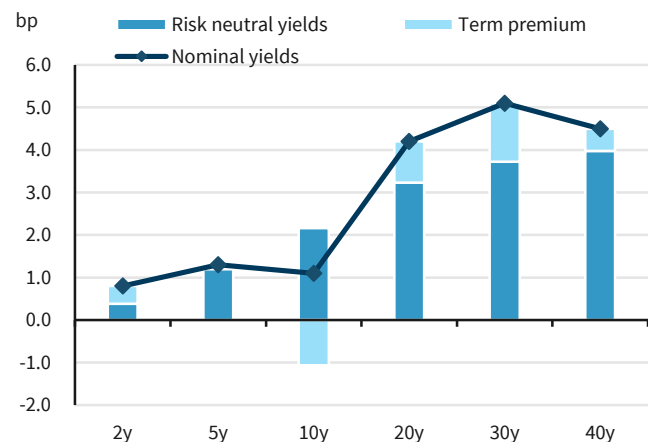
Decomposing yield moves since last Friday into the risk-neutral yield component (average expected future policy rate) and the term premium shows that the latter was broadly unchanged across maturities, while the former rose slightly (Figure 2).

FIGURE 1. This week's JGB market



Source: Barclays Research

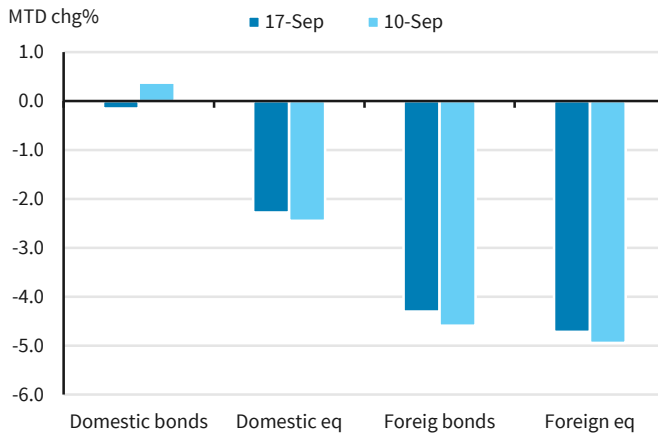
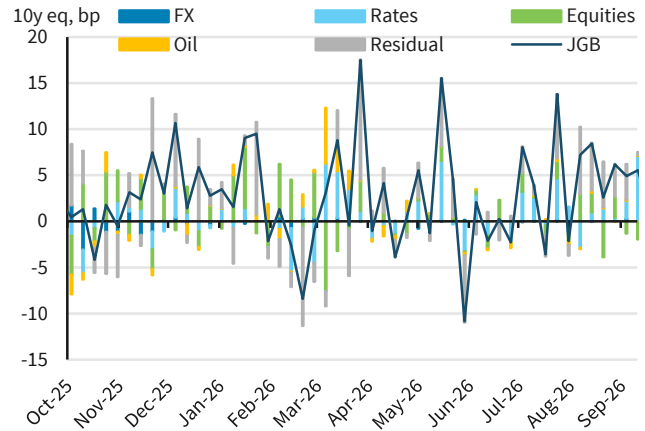
FIGURE 2. Decomposition of yield changes (term premium and risk-neutral yields)



Source: Barclays Research (see [Term premia dominance in superlongs](#))

Pension fund rebalancing is also in focus. Figure 3 shows asset-price changes since the beginning of the month. With all assets except JGBs continuing to record substantial price declines, JGBs – which have seen only modest price declines – are likely to face relative rebalancing-related selling pressure.

When assessing short-term drivers of JGB yield movements, relationships with other asset prices are also important. Figure 4 decomposes changes in JGB yields over the past week into contributions from FX, overseas yields, and other asset prices. As yields rose from last week through this Wednesday, overseas yields were the main contributor to the increase.

FIGURE 3. Asset price changes**FIGURE 4. Decomposition of JGB yield changes over the week since last Wednesday into contributions from other asset price moves**

Note: 10y equivalents based on DV01 for each maturity.

Source: MoF, Bloomberg, Barclays Research (see [Decomposition of JGB drivers using the yen-rates FFV model](#))

Week ahead

The week ahead brings national holidays Monday through Wednesday, and no major events are scheduled. The focus will instead be on how the market's pricing of the future BoJ rate-hike path ahead of the September meeting changes following Governor Ueda's press conference. As discussed in our trade recommendation, we see limited scope for a further acceleration in market pricing of BoJ hikes.

JGB forecast extension

We have extended our yen rate forecast horizon by one quarter through Q3 27 and expect the gradual upward trend in yields to continue. Our forecasts through Q2 next year are unchanged: assuming the BoJ raises the policy rate to 1.75% by July next year, we expect the 10y yield to rise to 3.25%. Along the curve, short- and medium-term yields should remain under upward pressure as rate hikes are delivered, while the belly around the 10y sector is likely to underperform because of vulnerable supply-demand conditions ([Figure 5](#)); by contrast, the superlong sector should remain resilient. Gradual upward pressure on yields is expected to persist across the curve through Q3 next year ([Figure 6](#)).

FIGURE 5.

Supply-demand in FY26 (JPY trn)								
	JGBs in mkt Mar 26	JGB issuance in FY26	BoJ buying annual	Shift to shorter tenor	Shift from longer tenor	JGBs in mkt Mar 27	Chg in JGBs	DV01 (JPYbn)
1-3y	79	35	8	-49	29	86	7	1
3-5y	68	32	7	-29	17	81	12	4
5-10y	128	35	8	-17	11	149	21	13
10-25y	204	13	3	-11	12	215	12	13
25-40y	90	10	2	-12	0	86	-4	-6
Total	570	126	28	-119	69	617	48	26

FIGURE 6.

%	2y	5y	10y	20y	30y	40y	10y BEI
Q4 26	1.85	2.30	3.05	3.90	4.05	4.05	2.10
Q1 27	1.95	2.40	3.15	3.95	4.10	4.10	2.10
Q2 27	2.00	2.50	3.25	4.00	4.10	4.10	2.10
Q3 27	2.05	2.55	3.30	4.05	4.15	4.15	2.10

Trade recommendations

We see limited scope for a further hawkish surprise in the pace of BoJ rate hikes priced by the market and recommend a 2s10s swap steepener (spot: 96bp; target: 108bp; stop-loss: 90bp). The decline in JGB term premiums in the long and superlong sectors from early-month levels may reflect lower OIS term premiums (which capture future inflation uncertainty and concerns that the BoJ is behind the curve) as stronger rate-hike expectations have eased such concerns. Therefore, if Governor Ueda's press conference after the September BoJ meeting is perceived as dovish relative to market expectations, renewed behind-the-curve concerns could lift OIS term premiums and, in turn, term premiums in the long end and beyond. Naturally, a dovish message would also place downward pressure on short- and medium-term yields through reduced expectations for BoJ rate hikes.

The market has already priced a scenario in which the policy rate is raised to 1.9% by July next year through hikes at every second or third meeting, and the BoJ meeting is expected to validate this pricing. Although faster tightening could ultimately materialize if the JPY weakens, it is difficult to see Governor Ueda committing to such a hawkish policy path at this stage. In their [BoJ preview \(September 2026\)](#), our economists also note that JPY weakness could accelerate the pace of hikes, but state that they see "little incentive to continue with the once-per-three-months pace by default beyond September," suggesting that market pricing for BoJ tightening may be somewhat excessive.

In addition, we recommend: 1) paying 1y1y EURJPY xccy basis ⁵ as a carry trade; 2) a 2y2y 1x2 payer spread ⁶ to position for gradual BoJ rate hikes; and 3) selling 10y JGB ASW ⁷ given the recent sharp richening.

⁵ [Fiscal risk back in focus\(open in new tab\)](#), 18 June.

⁶ [Interest Rate Derivatives: Payer spread for carry amid stabilizing risk premia\(open in new tab\)](#), 3 March 2026.

⁷ [Japan FX and Rates Strategy\(open in new tab\)](#) section of Market Strategy Japan, 17 July 2026.

Global Rates Markets

Summary of views

A summary of our views on duration, the curve, swap spreads, inflation, and volatility across the US, Europe, and Japan.

United States

Duration

- 10y yields within striking distance of 5% reflect the markets having reassessed the expected path higher while term premium appropriately hovers near pre-GFC levels. We remain of the view that bonds are not cheap yet.
- The FOMC meeting outcome points to a modest recalibration of the policy stance to a more resilient economy, rather than a hawkish shift in the reaction function, and does not create a long duration impulse.
- We are neutral on duration.

Curve/curvature

- We recommend 1yf 2s10s SOFR curve steepeners (entry -3bp), which can benefit from either an inflation miss or the economy shrugging off hikes.
- We maintain our recommendation to pay the belly of the 5s10s30s SOFR fly (1:2:1), as Treasury's long-end purchases should reallocate term premium into the 10y sector, which looks too rich in light of the level of term premium.

Swap spreads

- We maintain our 7y spread widener recommendation. Belly spreads offer the best combination of carry and potential for further spread widening, in our view, and stand to benefit from bank regulatory changes.
- We continue to recommend being long the 10s20s30s ASW fly. Increased long-end buybacks should support the 20y sector on the curve.

Inflation

- We initiate an energy-hedged short in 5y breakevens. With policy rates having repriced sharply higher (Dec27 SOFR futures are above 4.7% at time of writing), we now see the stage set for a leg lower in inflation risk to be more likely than not.
- We maintain our 5y iota widener recommendation, given an asymmetric risk profile.

Anshul Pradhan

+1 212 412 3681

anshul.pradhan@barclays.com

BCI, US

Rohan Khanna

+44 (0) 20 7773 0533

rohan.khanna1@barclays.com

Barclays, UK

Amrut Nashikkar

+1 212 412 1848

amrut.nashikkar@barclays.com

BCI, US

Moyeen Islam

+44 (0) 20 7773 4675

moyeen.islam@barclays.com

Barclays, UK

Shinichiro Kadota

+81 3 4530 1374

shinichiro.kadota2@barclays.com

BSJL, Japan

Volatility

- We recommend buying a USD 6m1y 1x1.5 ATM vs ATM+24 payer spread at a near-zero net premium, as the market is currently priced for too aggressive a hiking cycle.
- We maintain a 2y30y ratio payer spread recommendation to position for some drifting, but not a sharp sell-off at the long-end.
- We maintain a 3mf 5s30s curve cap spread recommendation to position for larger curve moves driven by Fed reaction function uncertainty.

Money markets

- We see building potential for pockets of funding pressure, driven by heavy T-bill supply, a higher TGA balance at times, and the seasonal reduction in GSIB balance sheets in Q4. We maintain our recommendation to be short October SOFR/FF.
- We think these dynamics will be sufficient to prompt a return of RMPs, with purchases moving back up to \$10bn in October and \$20bn in November. We expect purchases to remain at that pace for several months thereafter.

Europe

Duration

- EUR: The surge in energy prices continues to inflict pain on EUR rates. Given the ECB's meeting-by-meeting approach, pinning the upper bound for policy rates is challenging. In that context, we remain neutral on outright duration. We recommend an ERZ7Z8 flattener.
- UK: Duration has found support from the BOE's revamp of QT. But September's MPC decision highlights ongoing risk to the front end from an upside surprise to inflation.

Curve/curvature

- EUR: The EUR steepener has its merits, in our view, but for now it is unable to escape the tyranny of the front end. If over the next six months we remain in a guessing game about how much the ECB needs to hike policy rates (ie, war and its inflation effects drag on), it will be challenging to hold a EUR steepener in linear space. All else equal, against this backdrop, any hedge adjustments from Dutch PFs are unlikely to generate a steepening impulse for the curve if the EUR front end remains unanchored.
- UK: The MPC has given the market notice of likely rate tightening in November and possibly in 2027. Risks to inflation suggest that more tightening should be priced for 2H27. We retain our recommendation to [sell 10y Gilt vs. wings in Gilt 5/10/30s](#).

EGB/swap spreads

- EGBs: OATs will be a focal point for EGB investors in the autumn in the context of challenging budget negotiations and presidential elections scheduled for next April. Given the widening that has already materialised in the summer, we think OATs already price in a reasonable amount of risk premium and a widening asymmetry is not evident. OAT-Bund could widen further in a pessimistic scenario (ie, unfavourable developments with the budget, the Middle East conflict and presidential election polling), but a near-term retracement remains possible in a more benign political/macro scenario. Besides OATs, we also view the risk/reward in BTPs as relatively balanced (with risks to BTPs more external than idiosyncratic). In terms of EGB recommendations, we are long 30y Netherlands vs. Germany given relative fiscal/issuance dynamics.

- UK: The revamp of QT will support <5y and +20y ASW due to the combination of changes in QT modalities and a lack of long supply.

Volatility

- EUR: We maintain our recommendation for a EUR 1y1y 1x1x1 payer ladder to fade excess hike probabilities that are now being priced by the market.

Japan

Duration

- The yen rates market is likely to continue facing upward pressure from inflation risk premium, due to concerns about fiscal discipline and behind-the-curve risk for the BoJ. Long-term yields at 3% are broadly consistent with nominal growth expectations, but we see two-way risks to our JGB yield forecasts, with any easing of Middle East worries on the downside and escalation of fiscal concerns on the upside.
- 10y BEI is likely to remain high, driven by elevated inflation, wage increases, and the inflation risk premium. The risks to our outlook are an upside surprise to scheduled wage increases, prolonged JPY weakness, and increased concerns about fiscal discipline.

Curve/curvature

- We expect the belly of the curve to underperform due to inflation risk premium, while the superlong sector, which has already priced in significant term premium, should be better supported. Front-end yields should continue to rise in tandem with the expected BoJ hikes.
- We expect rates in the JPY money market to rise further, with additional BoJ hikes over the coming years. In the term market, repo rates have risen while bills remain rich.

Volatility

- We maintain a 2y2y 1x2 payer spread to position for rates moving higher, but with greater certainty about the terminal rate.

Forecasts

Global bond yield forecasts

Our latest bond yield forecasts for the US, the euro area, the UK, and Japan.

FIGURE 1. Global bond yield forecasts

US Treasuries						US swap spreads (vs SOFR)				
%	2y	5y	10y	30y	10y BE	bp	2y	5y	10y	30y
Q426	4.70	4.80	5.00	5.35	2.30	Q426	-15	-25	-40	-70
Q127	4.65	4.80	5.00	5.40	2.30	Q127	-15	-20	-35	-70
Q227	4.60	4.75	5.00	5.40	2.30	Q227	-15	-20	-35	-70
Q327	4.60	4.75	5.00	5.40	2.30	Q327	-15	-20	-35	-70

Euro government (Germany) bond yield						Euro area swap spreads (vs ESTR)				
%	2y	5y	10y	30y	10y BE	bp	2y	5y	10y	30y
Q426	3.00	3.05	3.30	3.75	2.30	Q426	-10	-15	-20	-50
Q127	3.00	3.05	3.30	3.75	2.30	Q127	-10	-15	-20	-45
Q227	3.00	3.05	3.30	3.75	2.30	Q227	-15	-20	-25	-45
Q327	3.00	3.05	3.30	3.75	2.30	Q327	-15	-20	-25	-45

UK government						UK swap spreads (OIS ASW)				
%	2y	5y	10y	30y	10y BE	bp	2y	5y	10y	30y
Q426	4.85	5.00	5.25	5.75	3.45	Q426	-10	-15	-55	-70
Q127	4.90	5.10	5.30	5.75	3.45	Q127	-10	-15	-55	-70
Q227	5.00	5.20	5.40	5.75	3.45	Q227	-10	-15	-55	-70
Q327	5.00	5.20	5.40	5.75	3.45	Q327	-10	-15	-55	-70

Japan government						Japan swap spreads (TONA OIS)				
%	2y	5y	10y	30y	10y BE	bp	2y	5y	10y	30y
Q426	1.85	2.30	3.05	4.05	2.10	Q426	-5	-10	-20	-50
Q127	1.95	2.40	3.15	4.10	2.10	Q127	-5	-10	-20	-50
Q227	2.00	2.50	3.25	4.10	2.10	Q227	-5	-10	-20	-50
Q327	2.05	2.55	3.30	4.15	2.10	Q327	-5	-10	-20	-50

Source: Barclays Research

Anshul Pradhan

+1 212 412 3681

anshul.pradhan@barclays.com

BCI, US

Rohan Khanna

+44 (0) 20 7773 0533

rohan.khanna1@barclays.com

Barclays, UK

Moyeen Islam

+44 (0) 20 7773 4675

moyeen.islam@barclays.com

Barclays, UK

Shinichiro Kadota

+81 3 4530 1374

shinichiro.kadota2@barclays.com

BSJL, Japan

Contacts

US Rates Research

Anshul Pradhan

Head of US Rates Strategy
+1 212 412 3681
anshul.pradhan@barclays.com
BCI, US

Amrut Nashikkar

Derivatives Research
+1 212 412 1848
amrut.nashikkar@barclays.com
BCI, US

Andres Mok

Treasuries Research
+1 212 526 8690
andres.mok@barclays.com
BCI, US

Jonathan Hill, CFA

Inflation-Linked Research
+1 212 526 3497
jonathan.hill@barclays.com
BCI, US

Samuel Earl

Money Market Research
+1 212 526 5426
samuel.earl@barclays.com
BCI, US

Eveline Dong

Rates Research
+1 212 526 9576
eveline.dong@barclays.com
BCI, US

Demi Hu

Rates Research
+1 212 526 7398
demi.hu@barclays.com
BCI, US

Apostolos Apostolou

Inflation-Linked Research
+1 212 526 5051
apostolos.apostolou@barclays.com
BCI, US

European Rates Research

Rohan Khanna

Head of European Rates Strategy
+44 (0) 20 7773 0533
rohan.khanna1@barclays.com
Barclays, UK

Moyeen Islam

Rates Research
+44 (0) 20 7773 4675
moyeen.islam@barclays.com
Barclays, UK

Max Kitson

Rates Research
+44 (0) 20 3134 1456
max.kitson@barclays.com
Barclays, UK

Alessandro Di Spirito

Rates Research
+44 (0) 20 3555 0515
alessandro.dispirito@barclays.com
Barclays, UK

Pratham Hukmat Kingar

Rates Research
+91 (0) 22 6175 2018
prathamhukmat.kingar@barclays.com
Barclays, UK

Asia Pacific

Shinichiro Kadota

Head of Japan FX and Rates Strategy
+81 3 4530 1374
shinichiro.kadota2@barclays.com
BSJL, Japan

Ayao Ehara

Japan FX and Rates Strategy
+81 3 4530 1379
ayao.ehara@barclays.com
BSJL, Japan

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